Coherent: November 8 source review, November 4 forecast retained

The November 8, 2026 source review completes all 18 saved claims and retains the complete November 4 earnings model. The Q4 2027 published target remains $490.53. Analytical and protected Excel Bases remain 78 under the November 5 owner alignment.

The valuation method remains 20x forward-four-quarter non-GAAP operating profit divided by the selected period diluted weighted-average shares. The full nine-branch financial model, 17 operating quarters through Q4 2030, cash/funding bridge, GAAP reconciliation and all published targets retain their existing values and information vintage.

Review decision and financial scope

All 18 source decisions select zero incremental revenue, operating profit and cash/dilution. Their incremental probability factor remains 1.0. The retained forecast already owns the core module, PhotonLink, DCI, OCS, InP sourcing and finite long-term-agreement opportunities.

This supplement adds the complete source dispositions, manufacturing and timing context, merchant-continuity evidence and remaining gaps. The original report follows in full with its 39 tables, 43 original images and 55 PDF pages. Its original price snapshot keeps its November 4 date.

Review decision

Item	Retained selection
Source review date	November 8, 2026 (Toronto)
Financial execution vintage	November 4, 2026
Q4 2027 published target	490.53
Analytical Base / protected Excel Base	78 / 78
Method	20x forward-four-quarter non-GAAP operating profit / selected diluted weighted-average shares
Source delta	All 18 claims reviewed; incremental revenue, operating profit and cash/dilution: 0
Financial scope	Nine joint branches; 17 quarters through Q4 2030; separate finite LTA rule through Q4 2033

Existing saved outputs and selected source-law metadata copied without financial calculation.

Invoice prices, qualification and product timing

The October 13 channel source quotes generic 800G prices of $1,000-2,000 and large-customer prices of $800-900. Reach, DSP content, SKU, customer, invoice timing, volume and rebates remain unmatched. The model retains its guide-calibrated $420 Q4 2026 and $400 Q4 2027 ASP anchors, alongside 1.6T anchors of $800 and $750. The existing unit-rebase comparison preserves its original revenue and cash-COGS result.

The first five forecast quarters retain 1.6T growth of 45%, 25%, 20%, 15% and 12%, with bandwidth-preserving 3.2T migration. Anonymous 15-20% trial interest describes a separate customer denominator. Commercial introduction, qualification and high-volume deployment remain distinct stages; customer-specific acceptance evidence would be needed to change the existing timing states.

Source decisions 1-6

Claim	Decision and overlap	Remaining evidence gap
O02	Retain the guide-calibrated 800G ASP of $420 in Q4 2026 and $400 in Q4 2027, with its linked cost and capacity basis.	Matched reach, DSP, SKU, customer, date, volume and rebates.
O03	Retain the first-five-quarter 1.6T volume growth of 45%, 25%, 20%, 15%, 12% and bandwidth-preserving 3.2T migration.	Measured Coherent share change and shipment acceptance dates.
O04	Keep the 15-20% trial-interest statistic with its own denominator and retain the joint PhotonLink/LTA timing law.	Named customer, platform, reach, vendor allocation and qualification cohort.
O07	Retain November 4 company actuals/guidance and treat downstream demand commentary as comparative context.	Issuer, segment and date behind the publisher 83%/90% figures.
MIZ_OPT_01	Retain early-NPO/6.4T context and the existing module, PhotonLink and LTA invoice paths.	Allocation of 5-10% system-cost and >25% power savings to a supplier invoice.
MIZ_OPT_02	Retain 80% on time, 15% two-quarter delay, 5% four-quarter delay and finite delivery recovery, applied once to dependent exposure.	Equivalent reach, deployment stage and named customer program.

Claim IDs join the complete 18-claim disposition register; original field text and pointers remain in the factpack provenance.

Architecture, capacity and stage yields

Early NPO in 2026 and 6.4T in 2027, followed by 2028-29 preproduction, 2029-30 high-volume deployment and 2031-plus compute I/O, describe different product and deployment scopes. ELS serviceability, thermal constraints, split loss, fiber count and less-than-2-cm versus greater-than-10-cm electrical traces remain topology-specific.

The source 43% to 76% progression concerns SiPho share of transceiver units from 2025 to 2030. The model assigns 100% overlap to an added generic adoption factor. Industry InP capacity growth greater than 80% in 2026 and 30% in 2027 lacks a matched company, wafer-area and qualified-good-output denominator. The company capacity index remains 100 in Q3 2026 and 205 in Q4 2027, with a one-quarter shipment lag and LTA/PhotonLink reservations first. Active-window achieved insourcing remains about 44%, against 55% desired.

The existing cost bridge retains its 0.98 to 0.53 learning path, 25% laser wallet and 30% internal discount. All 15 cited yield ranges remain separated across five manufacturing stages. Vendor, cohort, payer and nested-stage denominators remain unavailable, and a second generic yield-margin benefit receives full overlap.

Source decisions 7-12

Claim	Decision and overlap	Remaining evidence gap
MIZ_OPT_03	Keep ELS serviceability, thermal, split-loss and fiber-count effects within each existing content/cost wallet.	Topology, component counts, qualification and external invoice boundaries.
MIZ_OPT_04	Preserve 43% to 76% as SiPho transceiver-unit mix. Assign 100% overlap to a second generic adoption factor.	Owned laser/PIC/module content, absolute units and displaced shipments.
MIZ_OPT_05	Retain company capacity index 100 in Q3 2026 to 205 in Q4 2027, one-quarter lag and reserved LTA/PhotonLink capacity.	Company versus industry baseline, wafer area and qualified good output.
MIZ_OPT_06	Preserve all 15 stage-specific ranges and the existing learning/insourcing bridge; assign full overlap to another generic yield benefit.	Vendor, sample, cohort, stage and payer denominators.
MIZ_OPT_07	Keep NVIDIA, AVGO, AWS-STM, GCP and META routes within existing core, PhotonLink, DCI, OCS and LTA receipts.	A separately allocated Coherent award, accepted shipment and realized price.
MIZ_OPT_08	Retain the existing $2B financing treatment and merchant-support counterevidence.	Exact product, vintage and quantity behind sole-source/OCS claims.

Claim IDs join the complete 18-claim disposition register; original field text and pointers remain in the factpack provenance.

All 15 source yield ranges

Manufacturing stage	Year	Low	High
EML die 200G lane	2026	50.00%	70.00%
EML die 200G lane	2027	62.00%	81.00%
EML die 200G lane	2028	68.00%	87.00%
EML based module	2026	84.00%	89.00%
EML based module	2027	86.00%	94.00%
EML based module	2028	87.00%	96.00%
CW die	2026	73.00%	86.00%
CW die	2027	76.00%	89.00%
CW die	2028	78.00%	93.00%
CW plus SiPho module	2026	74.00%	87.00%
CW plus SiPho module	2027	82.00%	93.00%
CW plus SiPho module	2028	82.00%	95.00%
Socketable SiPho NPO engine	2026	55.00%	75.00%
Socketable SiPho NPO engine	2027	73.00%	86.00%
Socketable SiPho NPO engine	2028	80.00%	92.00%

Mizuho page 3. Stage, vendor, cohort and payer denominators remain unpaired; these ranges remain source context.

MIZUHO

Industry Report

Semiconductors & Semiconductor Capital Equipment

October 15, 2026

TMT

U.S. Equity Research

Semiconductors & Semiconductor Capital Equipment

Industry Commentary

Optical Call Takeaways: SiPho Ramping With NPO - As CPO Push Out 2028E+

We share an optical market update post our expert call. **Key takeaways: 1)** NPO as the key NT optical driver, ramping into 2027E+, and driving 5-10% cost savings vs optical pluggables, **2)** CPO as the next architectural step driving ~30% cost savings vs pluggables, broader adoption into 2028E+, while deployments are constrained by supply chain readiness/maturity and OCS could be a complementary product, enabling better topology scaling, **3)** Our call noted SiPho penetration growing from 43% in 2025 to 76% in 2030E, we believe with pluggables/NPO and CPO longer term, fueling demand for CW lasers (+ve LITE) and SiPho modules (+ve TSEM/STM), and **4)** InP substrate supply remains constrained but with major capacity additions into 2026-27E, we believe growing >80%/>30% in 2026E/2027E, and laser OEMs scaling. **We remain positive on the optical roadmap with LITE, CRDO, TSEM, NVDA, and AVGO as key beneficiaries.**

Key Points

NPO ramping into 2027E+, enabling up to 10% cost and >25% power advantages vs pluggables. We believe near-term NPO could see momentum build with easier serviceability and manufacturability with ELSFP vs CPO. NPO shortens the copper trace to <2cm from >10cm for pluggables, while delivering ~5-10% lower aggregate cost vs optical pluggables, and we believe >25% lower power (see our TSEM initiation report). We note four leading NPO architectures - key for TSEM/STM as NPO suppliers - using CW +SiPho designs and VCSELs (Ex-2), based on different laser location and type choices. We believe NVDA is spearheading ELS NPOs, while AVGO/CRDO potentially focus on non-ELS NT (see our CRDO note).

CPO ramps starting 2028-29E with laser supply, FAU, and testers supply a challenge, OCS complementary for better scaling. We believe hyperscalers such as GOOGL/META (both covered by Lloyd Walmsley) are exploring CPO architectures and could help drive the roadmap, though our call noted volume ramps only in 2028-30E, with current supply chain bottlenecks with: **a)** high power CW laser availability, **b)** FAU (fiber attach units) scale and yields, **c)** CPO testing capacities for wafer warpage, with electrical/optical testing tight for scale out and challenges increase for Scale-Up with >10x connectivity, but **d)** potential manufacturing automation enabling efficient production scalability. Our call also noted OCS as a complementary technology to CPO, targeting higher level leaf/spine networking and enabling easier AI pod topology scaling.

SiPho share growing to 70%+ 2030E, providing foundry tailwinds, InP supply demand still strong EML/CW - Constrained but ramping into 2027E+. Our call noted SiPho share growing from 43% in 2025 to 76% in 2030E, as we see overall SiPho ramps driven by with CW-based pluggables/NPO and longer term CPO (+ve LITE for lasers and +ve TSEM/STM for SiPho modules). We see InP substrate constrained but seeing strong capacity additions, we estimate up >80%/>30% in 2026E/2027E, growing further into 2028E, with leading laser OEMs also rapidly scaling (see oursupply chain note).

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Symbol	PT (Previous)	Rating (Previous)	Price
AVGO	$530.00	Outperform	$346.25
CRDO	$245.00	Outperform	$179.23
LITE	$1,140.00	Outperform	$896.33
NVDA	$315.00	Outperform	$221.30
STM	$80.00	Outperform	$46.90
TSEM	$300.00	Outperform	$209.16

Source: Bloomberg and Mizuho Securities USA

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Mizuho supplied note, page 1. Printed October 15, 2026; received October 28. Original full-page source image; architecture, unit mix and yield claims retain the stage and denominator qualifications discussed in this review.

NPO Ramps Ahead of CPO as Volume Slips to 2029/30E on Supply Chain Readiness

Our expert noted NPO ramps ongoing as a bridge to CPO, with CPO early ramps into 2028-29E and volume ramp pushed to 2029-30E on supply chain readiness. We believe NPO sits farther from the ASIC and closer to the laser source, making it easier to engineer (detachable FAU), with early programs ramping in 2026E and 6.4T deployments targeted for 2027E, providing ~5-10% cost savings vs. pluggables. For CPO, with more integrated design we see ~30% cost savings and lower latency vs pluggables. We see CPO led by NVDA and AVGO, with Ayar Labs, Lightmatter and potentially AMD following with hyperscaler interest growing. However, CPO supply chain remains needs development, with **a)** high power CW laser availability (NVDA injected $2B into each LITE/COHR - NC), **b)** FAU yields and capacity, **c)** optical/electrical test capacity and **d)** assembly automation. Meanwhile, pluggables are scaling to 1.6T as 3.2T qualification expands, with China leaning on NPO, potentially sidelining CPO adoption due to its complexity.

Exhibit 1 - NPO to Serve as Crucial Bridge with CPO Potentially Delayed to 2029/30E

Product	2026	2027E+
Pluggables	800G and 1.6T ramping	Scaling 1.6T as 3.2T qualification expands
NPO	Early programs and engines, detachable FAU not required, easier implementation	Targeting 6.4T deployments with more engine aggregation
CPO	Many customers in development, NVDA and AVGO leaders	Pre-Production in 2028/29 and high volume manufacturing in 2029/30
Compute Optical I/O	R&D	2031+ Ramp

Source: Proprietary Industry Expert Presentation, MSUSA

NPO Architectures: Trading Off Heat, Fiber Count, Yield and Reach

Our call noted four leading NPO architectures, with SiPho component often similar to CPO as we see layouts including: **1) socketed SiPho with attached CW** which places the laser beside the PIC near the ASIC, which is compact but keeps laser heat near the engine, **2) SiPho with remote ELS** moves the laser to a cooler, serviceable location, we believe at some cost of added design complexity and split loss, we believe NVDA is a key adopter, implementing lasers off package with ELS similar to its CPO design, **3) The laser-integrated PIC engine NPO**, we believe pursued by Innolight (300308.CH, NC), has fewer interfaces and higher yield potential but needs time to mature and ties laser and PIC yields together, and **4) VCSEL/micro-emitter engines**, led by CRDO, potentially easier to implement, slow-and-wide, with reach-limited to ~50m and rely on fragile light sources and multimode fiber.

Exhibit 2 - NPO Architectures Give Customers Multiple Options to Help Meet Different Needs

NPO Layout	Light Source/Location	Comments
Socketed SiPho + attached CW	Laser beside PIC, near ASIC	Compact but laser heat stays near engine
SiPho + remote ELS	Laser at cooler, serviceable location	Extra fibers, split loss and redundancy
Laser-integrated PIC engine	III-V laser integrated with SiPho	Fewer interfaces, tighter yield coupling
VCSEL NPO Engine	GaAs emitter near ASIC	Short reach and multi-mode fiber limits

Source: Proprietary Industry Expert Presentation, MSUSA

Mizuho supplied note, page 2. Printed October 15, 2026; received October 28. Original full-page source image; architecture, unit mix and yield claims retain the stage and denominator qualifications discussed in this review.

LT Yields Could Favor CW/SiPho, with EML Challenged into 400G/lane and Beyond

Our call noted EML and CW (SiPho) yields improving steadily into 2026-28E with CW die simpler and already at higher yields vs EML (73-86% vs 50-70%), while SiPho modulator integration with CW is the main challenge removing ~10-20pp from the final yield. We note EML yield improvement is potentially limited at higher data rates (into 400G/lane and beyond), as design complexity grows, with 200G/Lane EML die yields at 50-70% bin 2026E, potentially stalling at 68-87% in 2027-28E, with 400G/lane ramps. We see broader CW/SiPho yields rapidly improving to reach 80-92% by 2028E and enabling more efficient designs/deployments.

Exhibit 3 - CW Expected to Close the GAP to EML Yields

Optical Component Yield	2026	2027	2028
EML die (200G/lane)	50-70%	62-81%	68-87%
EML-based module	84-89%	86-94%	87-96%
CW die	73-86%	76-89%	78-93%
CW + SiPho module	74-87%	82-93%	82-95%
Socketable SiPho NPO engine	55-75%	73-86%	80-92%

Source: Proprietary Industry Expert Presentation, MSUSA

Multiple Approaches to Drive Optical Roadmap

Our speaker noted that different optical customers are applying different roadmaps to ramp deployments. We note NVDA ramping Quantum/Spectrum X switches with its current Rubin deployments, as we note we see it accelerating CPO adoption with the move to Rubin Ultra. For AVGO, we note it is currently ramping Tomahawk 6 (TH6) Davisson, its first 6.4T CPO product, with deployments remaining limited, while it has also begun shipments of its 3.2T VCSEL NPO. On the hyperscaler front, we note AWS is ramping its SiPho products in partnership with STM, with that roadmap evolving into NPO/CPO down the road, while GCP is ramping OCS now, with 1.6-6.4T NPO in its roadmap and META is still mostly deploying pluggables but looking into potential NPO products down the line.

Exhibit 4 - Customers taking Very Different Routes with Optical Roadmaps

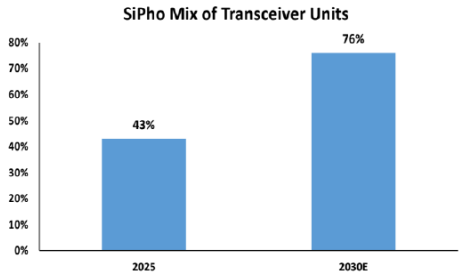
Customer	Architecture	Comments
NVDA	Quantum/Spectrum X switch CPO, 1.6T optics	Compute package and NPO mix, developing in parallel with same SiPho silicon
AVGO	6.4T CPO engine (TH6-Davisson), 3.2T VCSEL NPO	Parallel deployment
AWS	STM PIC100 collab	Working with STM on NPO and CPO
GCP	ICI (SW resiliency), plus OCS between TPU cubes	1.6T/3.2T/6.4T NPO floorplans, ethernet focus
META	OCP switches and pluggable optics	Interest in NPO, interoperability key

Source: Proprietary Industry Expert Presentation, MSUSA

SiPho Mix of Transceiver Units Increasing as NPO/CPO Ramp

With NPO ramping, and CPO ramps now expected to begin late 2028/early 2029E, we see SiPho continuing to take a higher mix of transceiver market. We note pluggables remain the dominant form factor, especially with 800G deployments and below, but as the market deploys more 1.6T-enabled clusters, we see SiPho mix accelerating, potentially to as high as 76% by 2030E from 43% in 2025. Additionally, we note that the rise in SiPho deployments coincides with the ramp of CW lasers, as we believe EML will see degrading yields as lane speeds increase to 400G on 3.2T/6.4T deployments.

Exhibit 5 - SiPho Transceiver Mix Ramping Potentially to >75% by 2030E



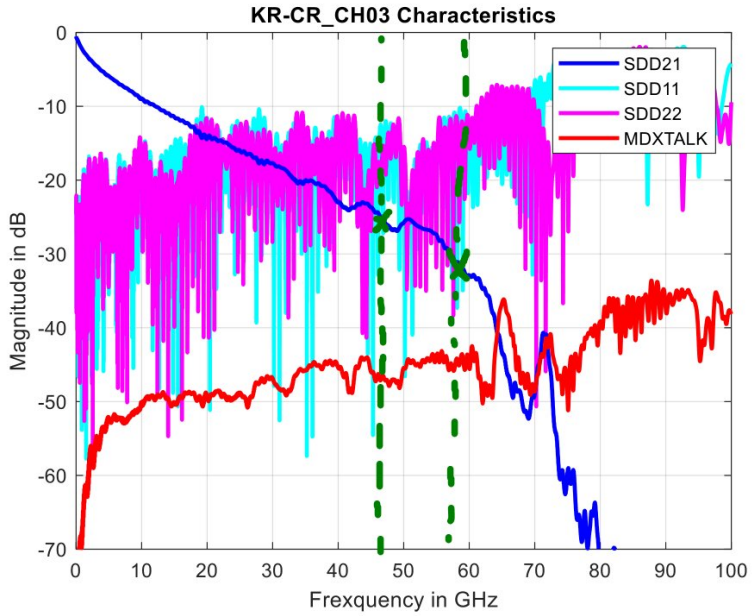
Source: Proprietary Industry Expert Presentation, LightCounting, MSUSA

3

Mizuho supplied note, page 3. Printed October 15, 2026; received October 28. Original full-page source image; architecture, unit mix and yield claims retain the stage and denominator qualifications discussed in this review.

KR-CR_CH03_4dBHost_1p5m26AWG_4dBHost

Amphenol
COMMUNICATIONS SOLUTIONS



CH03 Summary	
IL @53.125GHz	26.65 dB
RL (MAX DC-53.125GHz)	10.08 dB
ICR @53.125GHz	17.90 dB

kocsis_3dj_01a_2305 12

Complete annotated owner image. The underlying electrical-channel material is attributed to IEEE 2023. Roadmap specifications and customer qualification retain their verification gaps.

Retained joint timing and fulfillment

The nine existing leaves retain the complete dependent timing/fulfillment law. Aggregate timing remains 80% on time, 15% delayed two quarters and 5% delayed four quarters. The delayed branches defer 20% of existing PhotonLink InP exposure, with finite delivery recovery. The same shared exposure receives the timing treatment once.

The $20,000M LTA delivery rule retains its finite Q4 2033 boundary. The full financial rows end in Q4 2030; the retained model provides no complete post-2030 cash closure. Earlier unfunded stress cases keep their infeasible status.

Retained nine-leaf timing and fulfillment law

State	Probability	Delay (quarters)	LTA fulfillment	Existing PL / InP deferred
on_time_1	68.00%	0	100.00%	0.00%
on_time_0.75	9.60%	0	75.00%	0.00%
on_time_0.5	2.40%	0	50.00%	0.00%
two_quarter_delay_1	10.50%	2	100.00%	20.00%
two_quarter_delay_0.75	3.75%	2	75.00%	20.00%
two_quarter_delay_0.5	0.75%	2	50.00%	20.00%
four_quarter_delay_1	2.50%	4	100.00%	20.00%
four_quarter_delay_0.75	1.75%	4	75.00%	20.00%
four_quarter_delay_0.5	0.75%	4	50.00%	20.00%

Exact selected probabilities are retained in raw cells; display rounding preserves the existing joint dependence and finite delivery recovery.

Merchant continuity and possible second sourcing

The complete November 2 proposed MRVL-LITE transaction call preserves management's page 11 statements of continued support for merchant laser and DSP customers. The greater-than-$1B cost-synergy ambition and $17.7B/greater-than-$21B revenue illustrations belong to the proposed combined entity and retain their mixed reported, guidance and consensus scope.

A Coherent second-source invoice would require a named customer award, qualified capacity, product price, manufacturing/support cost, funding and delivery date. Those allocations remain unresolved. Jukan/Damnang commentary is grouped with the same primary event; repost counts supply no independent probability. The 2029-30 oversupply, SAMR and H1 2028 closing interpretations retain attribution gaps. The saved hypothetical image remains one deduplicated illustration and supplies no nineteenth independent claim.

Source decisions 13-18

Claim	Decision and overlap	Remaining evidence gap
MIZ_OPT_09	Retain TSEM $3.6B revenue, 45% margin, 38% OP margin and the broker's 2029 EPS at seven times 2025 as another issuer's dated context.	An identified Coherent procurement allocation and matching cost perimeter.
MIZ_OPT_10	Retain the six-stock broker appendix, owner 20x non-GAAP OP method, Base 78 and selected diluted-share controls.	Broker targets and multiples retain their own dates and conventions.
OWNER_APH_TECHNICAL	Retain the older IEEE 2023 channel context and existing optical/copper wallets.	Verification of 56-to-47-GHz and 16-wavelength 50-64-G NRZ claims and customer qualification.
UBS_OPTICAL_CONTEXT	Retain CW/EML/DFB context. FY1 OP growth 40.5%, ROE 24% and AI-power TAM $91.1B retain their undefined or separate perimeters.	Later substrate/body pages and disclosures; matched Coherent invoice.
MRVL_LITE_PRIMARY_CALL	Preserve the proposed transaction and page 11 continued merchant laser/DSP support; retain current competition, ASP and capacity constraints.	Qualified Coherent second-source award, seller margin, capacity and closing timing.
MRVL_LITE_RELAY	Group Jukan/Damnang relays with the primary event and retain current competition/timing constraints.	Original longtext and attribution for 2029-30 oversupply, SAMR and H1 2028 closing opinions.

Claim IDs join the complete 18-claim disposition register; original field text and pointers remain in the factpack provenance.

Source completeness and preserved evidence

The complete 23-page OPTICS packet retains the anonymous October 13 expert-call qualifications. The complete nine-page Mizuho note, printed October 15 and received October 28, retains all five exhibits, six broker/company appendices and supplied disclosures. Its expert audio, identity and underlying proprietary material remain unavailable.

The UBS source contains all 11 supplied pages; later substrate/body pages and disclosures remain missing. Its undefined FY1 statistic is operating-profit growth of 40.5%, alongside ROE of 24%; the $91.1B AI-power TAM has a separate perimeter. The annotated APH image retains the older IEEE 2023 channel attribution and unverified roadmap/customer-qualification details. Another issuer's TSEM forecast and six-stock broker targets remain comparative research context.

The complete November 4 financial forecast and its saved workbook checks carry forward unchanged. The four-quarter operating-profit windows use each selected period's diluted weighted-average shares. Published target values and the three final Window incomplete entries retain their original saved meanings.

The review preserves historical forecasts and their as-then ceilings, original formulas, numerical types and blank/text meanings. The November 5 owner rider aligns both current Bases to 78; earlier Base 80 records remain available with their original dates.

Complete provided-source scope

ID	Source and date	Retained scope / availability
S1	OPTICS; October 13 expert context; supplied 23 pages	O02/O03/O04/O07. Full supplied packet retained; expert identity/audio and matched invoice/customer definitions absent.
S2	Mizuho; printed October 15, 2026; received October 28	MIZ_OPT_01-10. Complete nine pages, five exhibits, six broker/company appendices and supplied disclosures. Underlying expert/proprietary material unavailable.
S3	Annotated owner PNG; older IEEE 2023 channel	OWNER_APH_TECHNICAL. Complete supplied image retained; roadmap/customer qualification unverified.
S4	UBS optical context; eleven supplied pages	UBS_OPTICAL_CONTEXT. All supplied pages retained. Later substrate/body pages and disclosures unavailable.
S5	MRVL-LITE proposed transaction; November 2, 2026	MRVL_LITE_PRIMARY_CALL / RELAY. Complete 18-page primary call, merchant continuity page 11; relay/closing opinions attributed and deduplicated.
S6	Original November 4 report / retained law	Full 39 tables, 43 ordered images, 55 PDF pages and complete HTML retained; source and model execution vintages preserved.

Full original source files and read receipts are hash-bound in the source catalogue. Page references use each supplied source pagination.

Retained model and source qualifications

Area	Scope
1	The current financial branches end in Q4 2030. The separate finite LTA delivery rule continues through Q4 2033; full post-2030 cash closure is outside the retained financial horizon.
2	Unfunded stress cases retain their infeasible status.
3	The prior jurisdictional tax, restricted-cash, ordinary intra-quarter cash timing, share-plan renewal and opening-share differences retain their disclosed qualifications.

The source review retains all earlier documented financial limitations and infeasible stress outcomes.

November 4, 2026: complete preserved report

The complete November 4, 2026 report follows with its original text, financial tables, forecasts, source images and model figures. The November 8 source review retains that financial law and its information vintage.

1. Coherent (COHR)

Full investment review | November 4, 2026 | Framework 8.0 | NYSE common shares | USD reporting.

Active Q4 2027 calculated ceiling: USD 490.53 per share. The valued earnings window is Q4 2027 through Q3 2028, using 20 x non-GAAP operating profit and the selected diluted share convention.

Classification: optical manufacturing and integrated-platform bottleneck. Analytical Base 47/60, displayed 78%; protected Excel Base 78.

Dated market snapshot: November 4 regular-session close USD 195.09; latest reported common 196.958669 million shares as of November 2. This price/share snapshot combines the stated dates.

Reported financials end September 30, 2026. Current forecasts run from Q4 2026 through Q4 2030. Dollar amounts are millions unless another unit is specified.

2. A manufacturing platform across the optical signal chain

Coherent supplies the optical path that moves data through and between large computing systems. Its portfolio combines semiconductor lasers, photodetectors, passive optical components, transceivers, transport equipment and optical switching. The company also grows or processes important materials and manufactures many of its own components. This breadth creates several ways to participate in a customer design, from a single component to a more integrated external solution.

The economic opportunity has two main sources. Datacenter investment increases the number and speed of optical connections already in use. New architectures extend optical links into areas that have relied on copper. Coherent must translate those opportunities into qualified products, available manufacturing capacity and external customer invoices. Product mix, manufacturing yields, purchase prices and the share of internally sourced components then determine the profit on those invoices.

The investment case therefore combines an operating expansion with a demanding funding program. The latest quarter shows strong sales and operating profit alongside substantial capital spending and working-capital absorption. Long-term agreements improve visibility into customer demand, while their acceptance schedules, payment terms and associated factory commitments determine how much of that visibility becomes cash.

3. Source exhibit

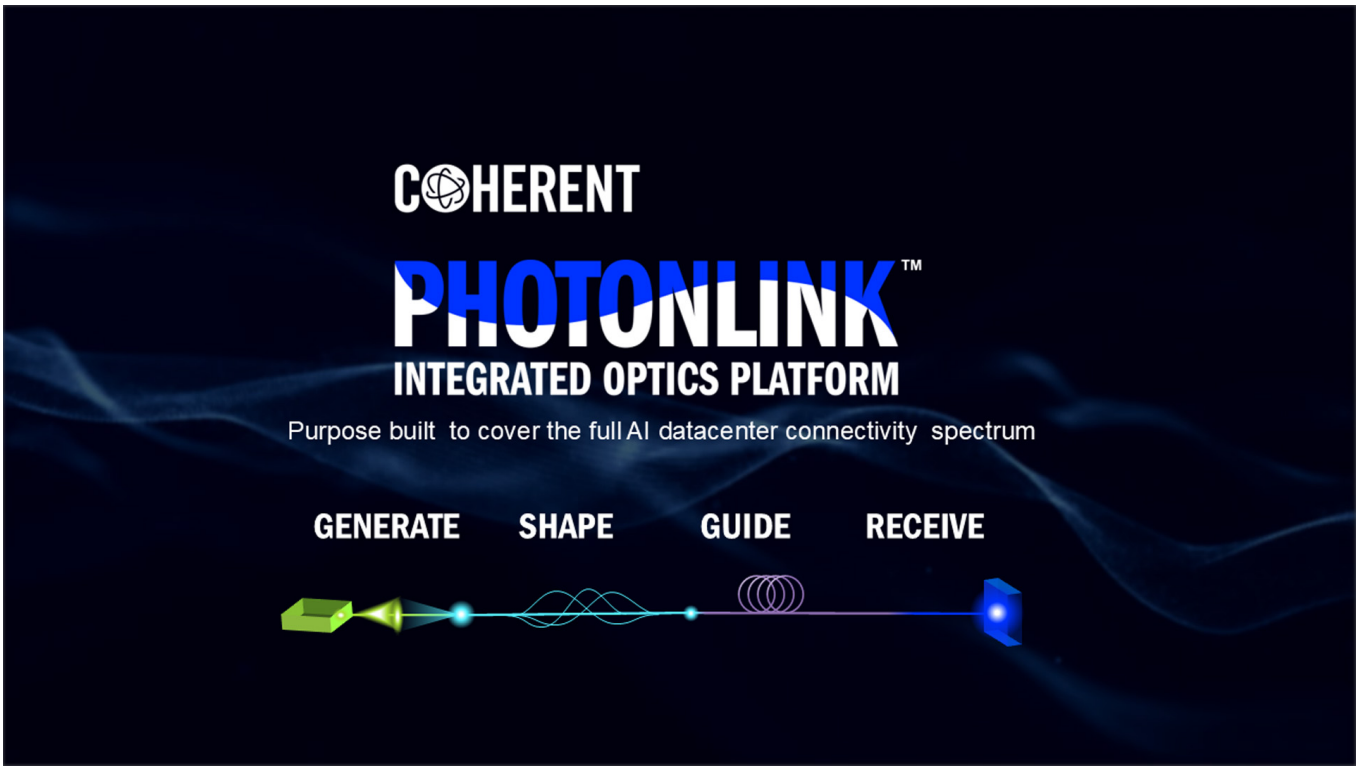


Figure 1. Coherent's September 21, 2026 PhotonLink platform spans light generation, shaping, guidance and reception.

4. Source exhibit

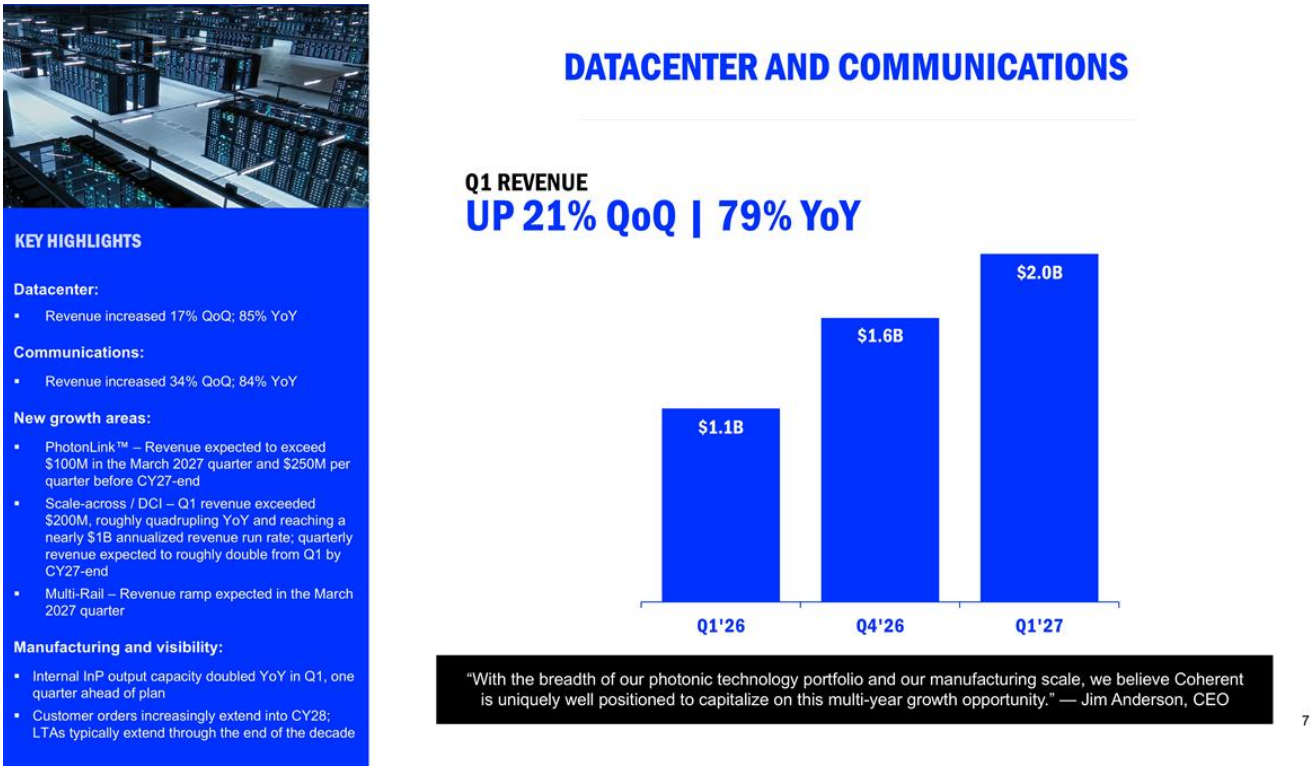


Figure 2. Coherent issuer presentation, November 4, 2026, source slide 7.

5. The adoption curve and the company’s position

The established growth engine is high-speed pluggable transceivers. Management describes continued growth in 800G and a rapid 1.6T ramp across multiple customers. These products already generate revenue and consume internal InP output. Higher-speed modules introduce new packaging, electrical and optical requirements; their unit volumes and selling prices should be modeled by speed class.

Integrated optics is at an earlier commercial stage. Management expects initial PhotonLink scale-out revenue in the December 2026 quarter, followed by larger deployments in 2027. It places CPO scale-up applications around late 2027, VCSEL-based NPO around early 2028 and chip-to-chip use primarily in 2029-2030. These dates describe distinct adoption steps with separate qualification and customer-integration work.

The report follows those stages through the revenue and capacity model. Broader engagement counts support an opportunity set, while shipment assumptions reflect the probability, timing and economics of actual deployment. The analysis tracks conversion of each opportunity inside one defined revenue vector.

6. Source exhibit



Figure 3. Coherent’s March 17, 2026 next-generation pluggable products. Modeled module-equivalent volumes and prices are analytical estimates.

7. Source exhibit

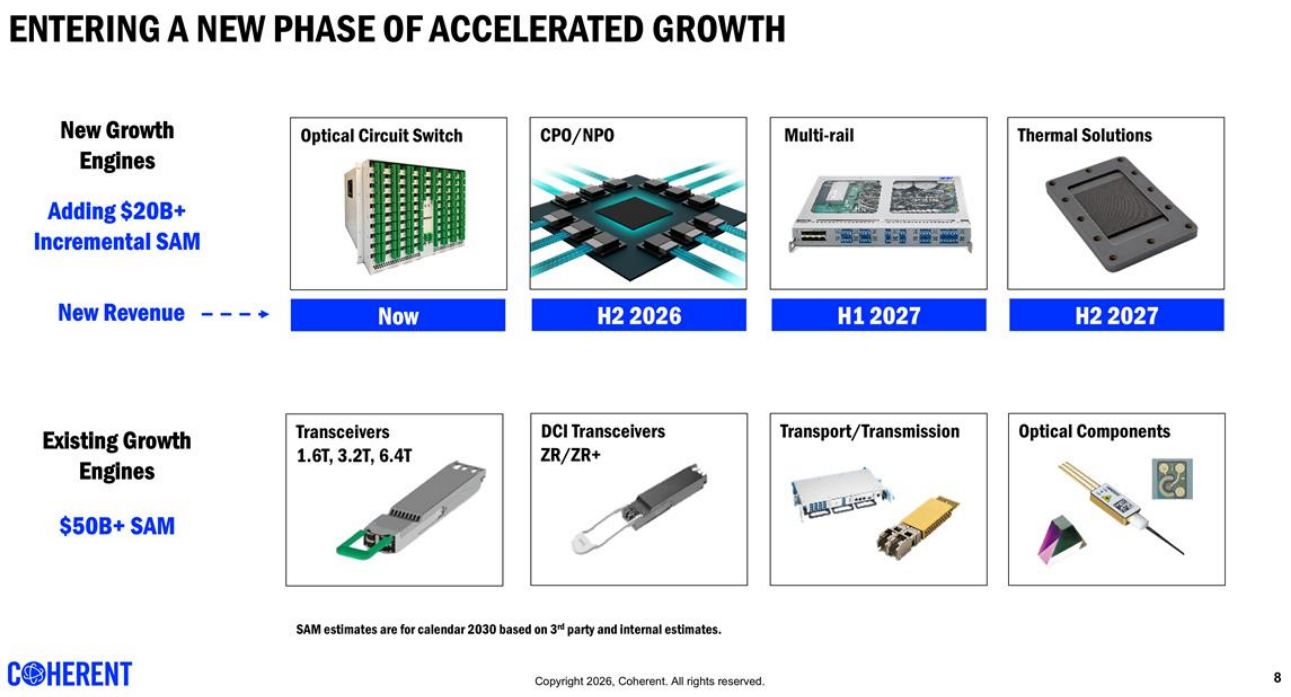


Figure 4. Coherent issuer presentation, August 12, 2026, source slide 8.

8. The framework score

The framework score totals 47 points out of 60: Core Thesis 18/20, Cycle Stage 9/10, TAM Expansion 9/10, Catalysts 5/5, Macro 9/10 and Alpha 2/5, followed by five separate risk deductions. The analytical display rounds this to 78%. The Excel Base is 78.

The strongest evidence is the breadth of the optical portfolio, an established transceiver business, expanded internal InP production and increasingly specific customer ramp disclosures. The risk deductions cover end-market cyclicality; qualified manufacturing execution; customer acceptance and architecture timing; pricing, mix and operating-cost sustainability; and funding with working capital. Each risk has its own transmission into sales, margins, cash or dilution.

9. The reported quarter and the next guide

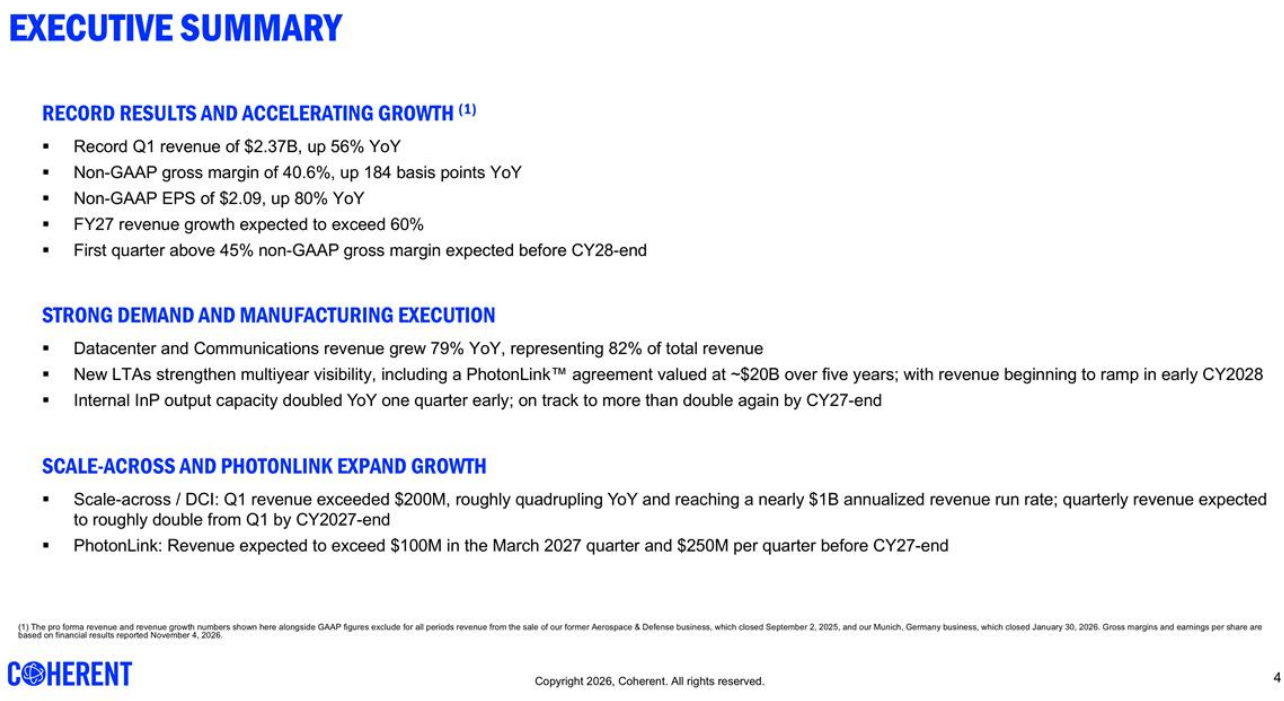
Fiscal Q1 2027 ended September 30, 2026. Revenue was $2,370.324 million, including $1,951.725 million in Datacenter & Communications and $418.599 million in Industrial. The release reports a 40.6% non-GAAP gross margin, approximately $550.3 million of non-GAAP operating profit and $2.09 diluted non-GAAP EPS. Management reported 56% year-over-year revenue growth on a pro-forma basis that removes the divested aerospace-and-defense and Munich businesses.

The next-quarter guide is $2.55-$2.75 billion of revenue, 40-42% non-GAAP gross margin, $430-$450 million of non-GAAP operating expenses and $2.28-$2.48 diluted non-GAAP EPS. Management expects pro-forma fiscal 2027 revenue growth to exceed 60%, a first $3 billion revenue quarter by June 2027 and a first $4 billion quarter during fiscal 2028. It also expects a first quarter above 45% non-GAAP gross margin before the end of calendar 2028.

GAAP operating profit was $377.866 million. The reconciliation includes share-based compensation, acquired intangible amortization, restructuring and integration-related costs. The report preserves the company’s existing non-GAAP operating-profit valuation basis and separately shows the recurring cash costs, equity

awards and GAAP deductions. Newly reported September actuals have a separate presentation from the already-published historical forecast vintage.

10. Source exhibit



EXECUTIVE SUMMARY

RECORD RESULTS AND ACCELERATING GROWTH (1)

- Record Q1 revenue of $2.37B, up 56% YoY
- Non-GAAP gross margin of 40.6%, up 184 basis points YoY
- Non-GAAP EPS of $2.09, up 80% YoY
- FY27 revenue growth expected to exceed 60%
- First quarter above 45% non-GAAP gross margin expected before CY28-end

STRONG DEMAND AND MANUFACTURING EXECUTION

- Datacenter and Communications revenue grew 79% YoY, representing 82% of total revenue
- New LTAs strengthen multiyear visibility, including a PhotonLink™ agreement valued at ~$20B over five years; with revenue beginning to ramp in early CY2028
- Internal InP output capacity doubled YoY one quarter early; on track to more than double again by CY27-end

SCALE-ACROSS AND PHOTONLINK EXPAND GROWTH

- Scale-across / DCI: Q1 revenue exceeded $200M, roughly quadrupling YoY and reaching a nearly $1B annualized revenue run rate; quarterly revenue expected to roughly double from Q1 by CY2027-end
- PhotonLink: Revenue expected to exceed $100M in the March 2027 quarter and $250M per quarter before CY27-end

(1) The pro forma revenue and revenue growth numbers shown here alongside GAAP figures exclude for all periods revenue from the sale of our former Aerospace & Defense business, which closed September 2, 2025, and our Munich, Germany business, which closed January 30, 2026. Gross margins and earnings per share are based on financial results reported November 4, 2026.

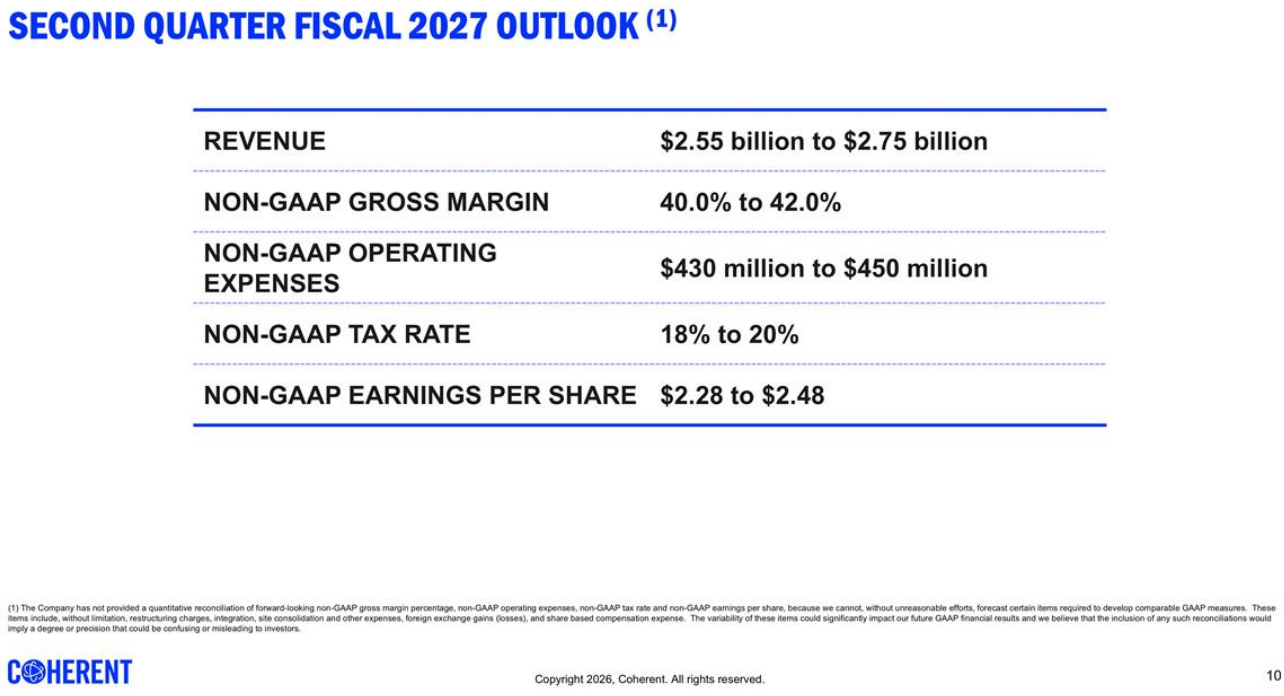
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4

Figure 5. Coherent issuer presentation, November 4, 2026, source slide 4.

11. Source exhibit



SECOND QUARTER FISCAL 2027 OUTLOOK (1)

REVENUE	$2.55 billion to $2.75 billion
NON-GAAP GROSS MARGIN	40.0% to 42.0%
NON-GAAP OPERATING EXPENSES	$430 million to $450 million
NON-GAAP TAX RATE	18% to 20%
NON-GAAP EARNINGS PER SHARE	$2.28 to $2.48

(1) The Company has not provided a quantitative reconciliation of forward-looking non-GAAP gross margin percentage, non-GAAP operating expenses, non-GAAP tax rate and non-GAAP earnings per share, because we cannot, without unreasonable efforts, forecast certain items required to develop comparable GAAP measures. These items include, without limitation, restructuring charges, integration, site consolidation and other expenses, foreign exchange gains (losses), and share based compensation expense. The variability of these items could significantly impact our future GAAP financial results and we believe that the inclusion of any such reconciliations would imply a degree or precision that could be confusing or misleading to investors.

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Figure 6. Coherent issuer presentation, November 4, 2026, source slide 10.

12. Source exhibit

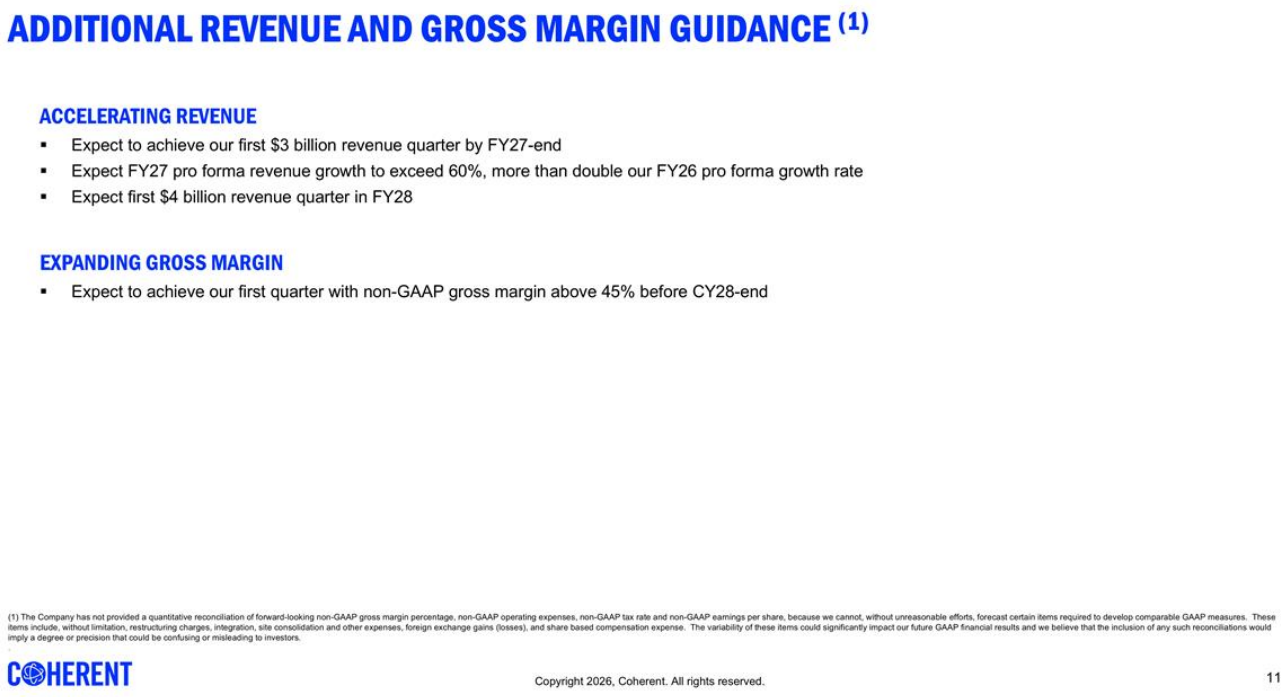


Figure 7. Coherent issuer presentation, November 4, 2026, source slide 11.

13. Analytical scorecard

Category	Points	Evidence
Core Thesis	18/20	Broad optical signal-chain portfolio and qualified InP capacity; competing components and architectures remain.
Cycle Stage	9/10	AI optical-transceiver ramp with new CPO and NPO programs and substantiated production expansion.
TAM Expansion	9/10	Issuer targets integrated optics within a broader 2030 opportunity; bundled invoices overlap.
Catalysts	5/5	December 2026 shipments, March 2027 PhotonLink and MultiRail, 2027 capacity and early-2028 LTA ramps.
Macro	9/10	Datacenter link capacity and adoption of optics support multi-year demand.
Alpha	2/5	Widely followed issuer; analytical insight comes from product, cash and qualification reconciliation.
Risks	-5/0	Cyclicality; qualified manufacturing; customer timing; price, mix and costs; funding and working capital.
Total	47/60	Analytical 78%; Excel 78

14. What enters revenue

The revenue model has seven external-invoice vectors: core transceivers, existing PhotonLink, the new PhotonLink long-term agreement, scale-across DCI including MultiRail, OCS systems, legacy telecom and retained industrial. This structure links a product’s customer invoice to its corresponding production cost and support expense. Internal lasers or photodetectors embedded in Coherent modules enter the module economics once.

The core transceiver allocation uses module-equivalent volumes and selected prices because the issuer does not disclose complete quarterly unit shipments, speed mix or customer-specific ASPs. The model

distinguishes legacy modules, 800G, 1.6T and later 3.2T. Migrating two 1.6T equivalents into one 3.2T module preserves bandwidth and changes the invoice and cost per module.

The company reports Datacenter & Communications as a combined segment. Its rounded growth disclosures support an approximate split between datacenter and communications, followed by explicit DCI and OCS carve-outs. These allocations carry lower confidence than the reported segment total. Every allocated component must sum back to that total before the forecast extends it.

15. PhotonLink and the new long-term agreement

PhotonLink is Coherent’s integrated-optics portfolio across generation, shaping, guidance and reception of light. Customers can purchase different portions of that chain. Management’s illustrative content opportunity of about $15,000 for a chip requiring 100 Tb/s of optical I/O assumes use of the full portfolio; individual architectures may select a smaller wallet. The model therefore requires an invoice scope for each customer opportunity.

The November call described a new agreement worth approximately $20 billion over five years with a major AI datacenter customer. Revenue is expected to start early in calendar 2028 and increase over subsequent quarters and years. The agreement is separate from the previously announced NVIDIA relationship and is anchored on Coherent’s 400 mW continuous-wave laser together with higher-level content.

The public materials do not identify the customer, a quarterly delivery schedule, a specific minimum-take formula, termination remedies or the amount of an upfront payment. Earlier management comments describe general LTA features such as demand commitments, agreed prices and customer funding for capacity. The report keeps that general description separate from the undisclosed clauses of this particular agreement.

The financial model shows a finite delivery curve, conditional fulfillment outcomes and a retained delayed tail. The associated factory commitment creates cash exposure before some customer revenue arrives. Existing PhotonLink and the new agreement share relevant qualification timing, while their revenue and cost pools remain separately identified.

16. Source exhibit

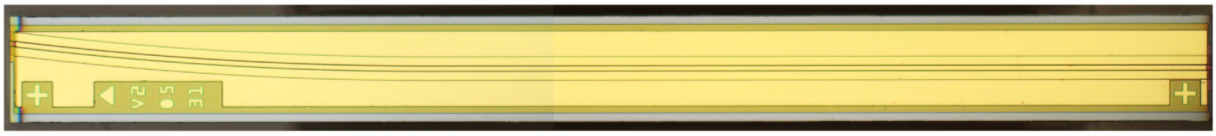


Figure 8. Coherent’s 400 mW continuous-wave laser from the September 25, 2025 release. Qualification depends on operating conditions.

17. Scale-across and MultiRail

Scale-across connects computing capacity across multiple datacenters. Management reported more than $200 million of quarterly revenue in this activity in September, almost four times the prior-year level, and expects the quarterly level to roughly double by the end of 2027. The product range includes pumps, modules, amplifiers, line cards, ROADMs and complete systems sold to equipment manufacturers and directly to some hyperscalers.

MultiRail begins its expected revenue ramp in the March 2027 quarter. It expands transmission capacity through a denser transport solution and sits inside the scale-across DCI vector. The forecast includes it in the same customer deployment path. A pump, module or subsystem consumed inside a Coherent solution contributes to the finished external invoice once.

The key tests are customer deployment timing, manufacturing availability and the incremental revenue produced from the product mix. Current business is already substantial, so a delayed growth case preserves that installed commercial base while shifting the incremental ramp.

18. Source exhibit



Figure 9. Coherent MultiRail product from the March 12, 2026 release. The model includes its revenue within DCI.

19. Optical circuit switching

Coherent’s optical circuit switches use liquid-crystal routing. Management reports shipments of 320-by-320 systems, development of denser configurations and production expansion at two sites. It sees applications across scale-out, scale-across and scale-up networks. The company’s stated 2030 market opportunity exceeds $4 billion, while its own revenue, unit shipments and system ASPs remain undisclosed.

The switch routes optical paths through a network. Connected transceivers and other light-source equipment retain their separate invoice and capacity definitions. The financial model therefore allocates an explicit OCS revenue path and avoids assigning a new laser sale to every switch port.

Production scaling, customer network design and field reliability determine the adoption pace. The issuer describes advantages in power and reliability from its non-mechanical approach. Public matched field-failure data across competing architectures are incomplete, so the report retains that distinction in its technical confidence assessment.

20. Source exhibit



Figure 10. Coherent liquid-crystal optical circuit switch. Passive routing and connected transceiver invoices have separate scopes.

21. Source exhibit

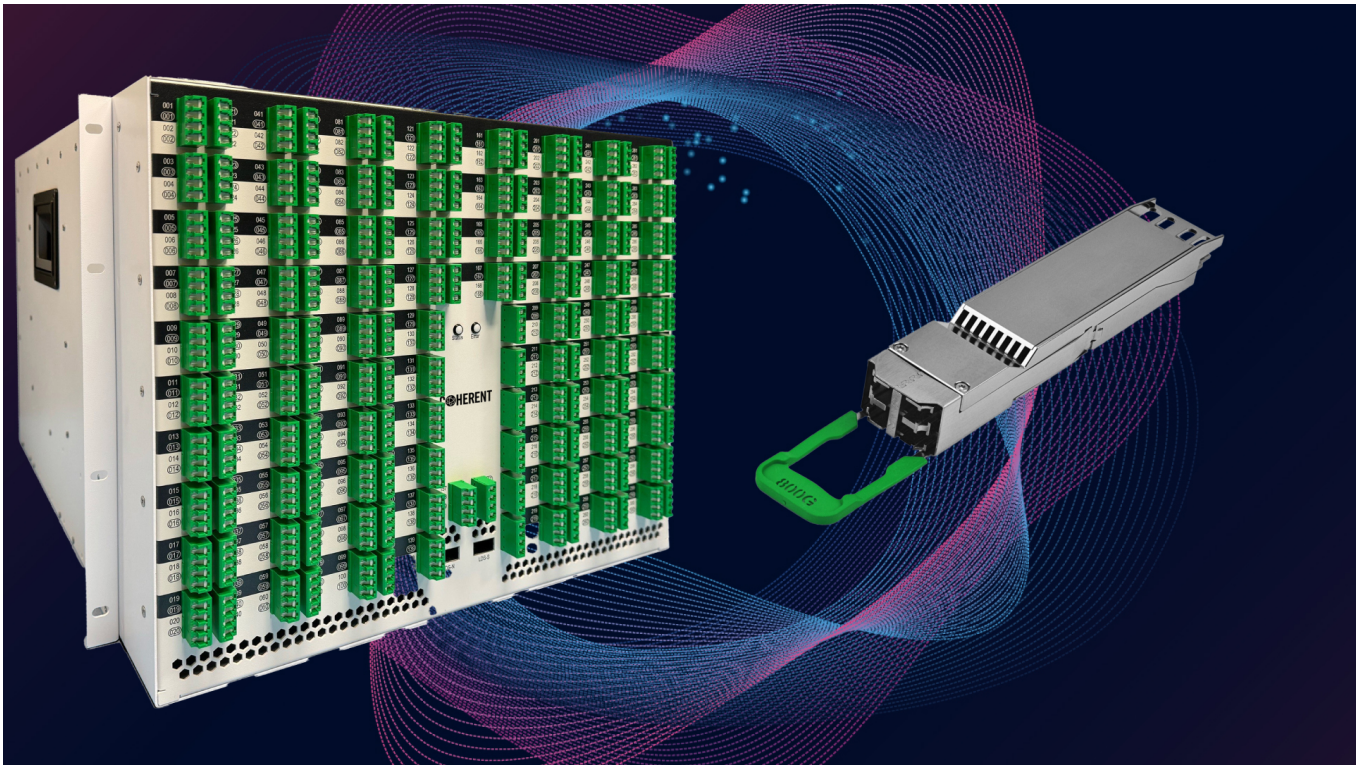


Figure 11. Coherent's March 27, 2025 illustration of OCS-compatible transceivers and switching equipment.

22. Industrial recovery and emerging uses

The retained industrial business supplies lasers, optics and materials into manufacturing, semiconductor equipment and other applications. Its September revenue was approximately flat on a pro-forma basis. Management highlighted stronger semiconductor-capital-equipment bookings and applications in AI-server manufacturing, including CO2 lasers and zinc-selenide optics used in circuit-board processing.

Thermadite thermal products are at a sampling stage, with initial revenue expected in the second half of 2027. Other cited opportunities include fusion-related manufacturing and quantum technologies. The industrial path includes these developing uses within its broader recovery assumptions. The model reserves separate treatment for an opportunity only when a distinct, supported revenue and cost bridge becomes available.

Industrial demand has a different cycle from datacenter optics. Keeping its revenue and margin assumptions visible helps test whether a recovery in one business is being used to conceal weakness in another.

23. Source exhibit

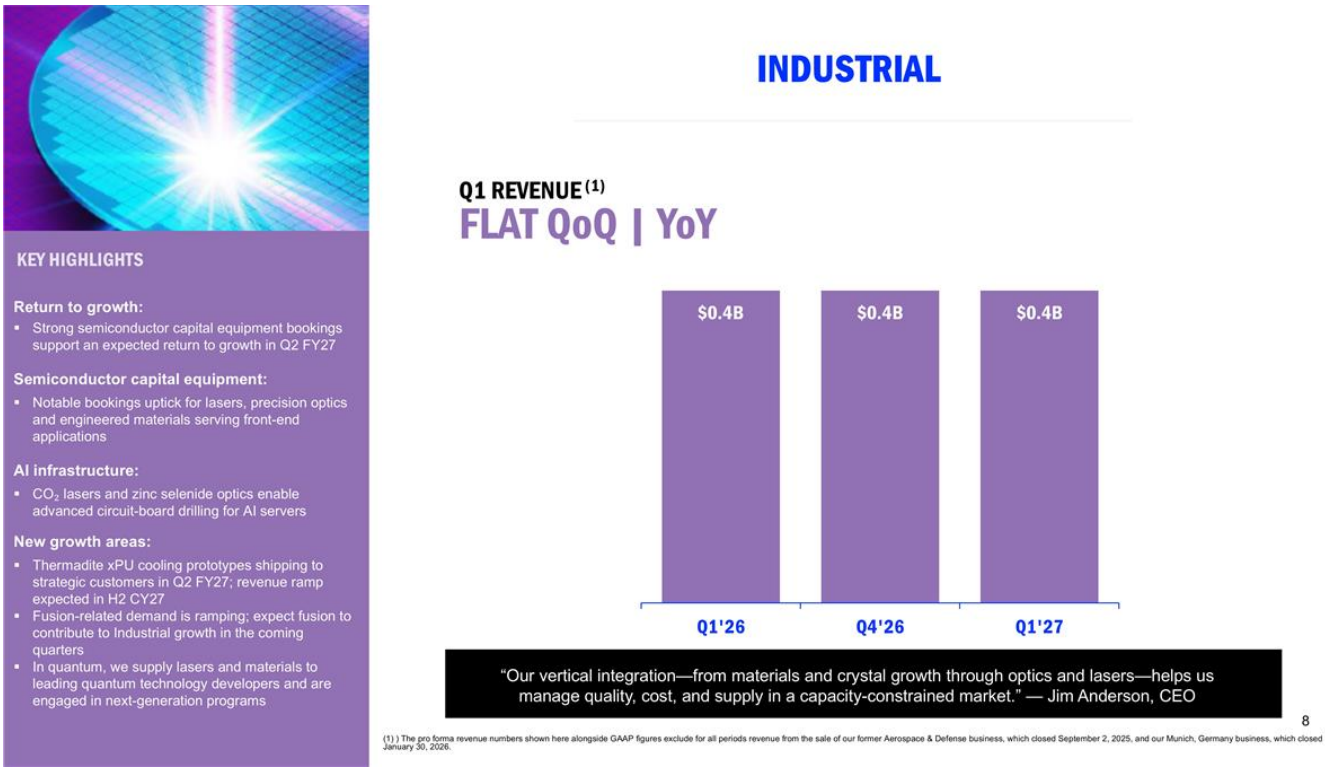


Figure 12. Coherent issuer presentation, November 4, 2026, source slide 8.

24. Source exhibit

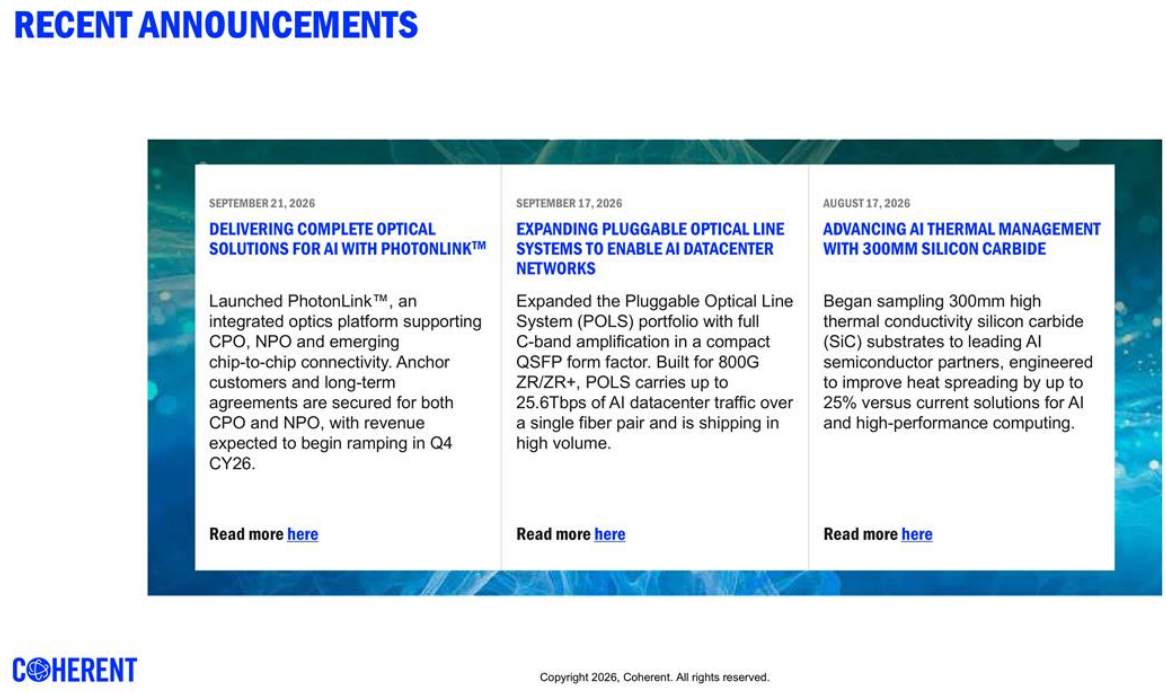


Figure 13. Coherent issuer presentation, November 4, 2026, source slide 9.

25. Quarterly revenue and product delivery

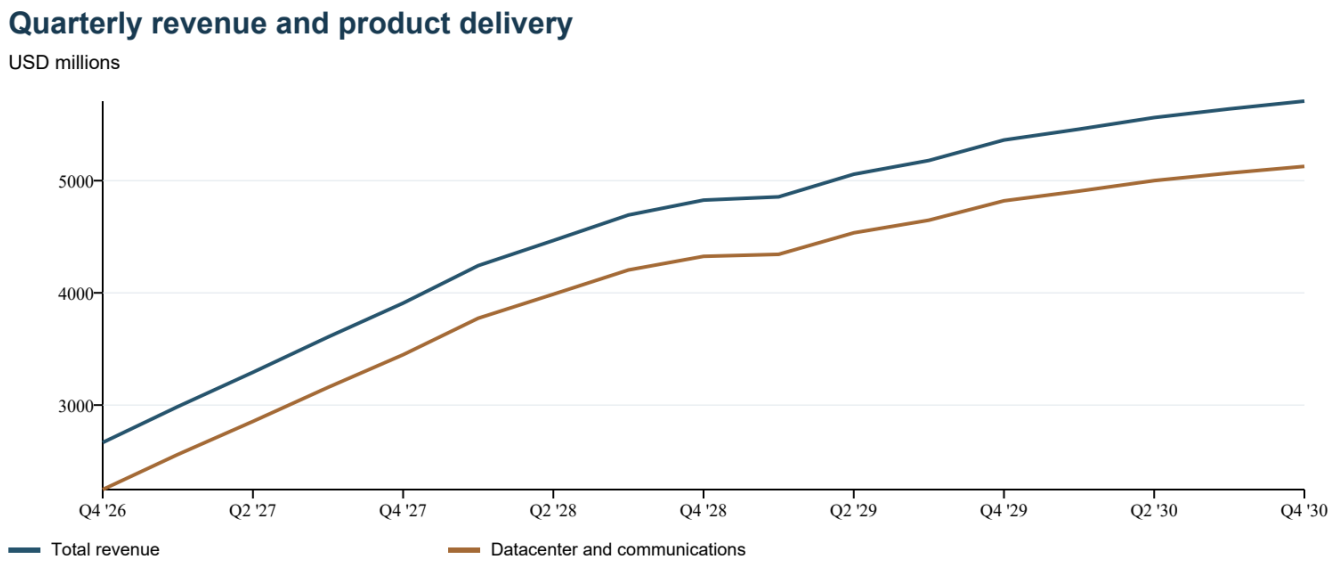


Figure 14. The product vectors below reconcile to external company revenue. All forecast values come from the same approved model.

Quarter	Total revenue	Datacenter and communications
Q4 2026	2,666.379	2,247.229
Q1 2027	2,986.339	2,559.789
Q2 2027	3,292.163	2,854.513
Q3 2027	3,606.648	3,157.898
Q4 2027	3,908.594	3,448.744
Q1 2028	4,242.727	3,773.877
Q2 2028	4,466.480	3,987.730
Q3 2028	4,693.826	4,203.926
Q4 2028	4,826.338	4,325.288
Q1 2029	4,855.570	4,343.370
Q2 2029	5,057.010	4,534.910
Q3 2029	5,179.377	4,647.377
Q4 2029	5,362.079	4,820.179
Q1 2030	5,458.571	4,906.771
Q2 2030	5,561.956	5,000.256
Q3 2030	5,639.165	5,067.565
Q4 2030	5,708.474	5,126.974

26. Core transceiver invoice composition

Quarter	Legacy	800G	1.6T	3.2T
Q4 2026	283.407	866.142	518.969	0.000
Q1 2027	277.739	941.414	638.576	0.000
Q2 2027	272.184	1,023.079	754.127	0.000
Q3 2027	266.741	1,111.662	836.193	16.785
Q4 2027	261.406	1,207.732	892.984	46.999
Q1 2028	253.616	1,204.713	900.128	100.014
Q2 2028	246.058	1,175.546	833.803	208.451
Q3 2028	238.726	1,110.238	744.169	318.930
Q4 2028	231.612	1,024.031	636.358	424.239
Q1 2029	222.440	978.462	548.064	548.064
Q2 2029	213.631	934.305	448.569	672.853
Q3 2029	205.171	891.524	340.676	794.911
Q4 2029	197.047	850.080	284.511	853.532
Q1 2030	189.244	812.830	228.576	914.304
Q2 2030	181.750	776.730	170.377	965.470
Q3 2030	174.552	741.749	111.702	1,005.314
Q4 2030	167.640	707.856	54.341	1,032.485

27. Other external invoice vectors

Legacy telecom contributes the selected flat USD 265.085294 million per quarter in addition to the columns below. Internal component transfers create no additional revenue.

Quarter	Existing PL	New LTA	DCI	OCS	Industrial	Policy
Q4 2026	24.500	0.000	252.125	37.000	419.150	0.000
Q1 2027	105.600	0.000	290.875	40.500	426.550	0.000
Q2 2027	153.788	0.000	332.750	53.500	437.650	0.000
Q3 2027	217.838	0.000	377.625	65.250	448.750	0.719
Q4 2027	268.113	0.000	425.375	79.500	459.850	1.550
Q1 2028	351.138	152.800	453.750	90.250	468.850	2.383
Q2 2028	404.050	267.400	483.125	101.000	478.750	3.212
Q3 2028	458.019	447.575	507.500	110.500	489.900	3.185
Q4 2028	506.269	582.706	531.875	120.000	501.050	3.113
Q1 2029	553.831	542.056	556.250	126.000	512.200	3.118
Q2 2029	601.256	683.469	580.625	132.000	522.100	3.115
Q3 2029	650.600	754.556	605.000	136.750	532.000	3.102
Q4 2029	700.000	895.969	629.375	141.500	541.900	3.080
Q1 2030	750.000	943.669	653.750	146.250	551.800	3.064
Q2 2030	800.000	1,008.681	678.125	151.000	561.700	3.038
Q3 2030	850.000	1,057.912	702.500	155.750	571.600	3.001
Q4 2030	900.000	1,109.238	726.875	160.500	581.500	2.954

28. Joint contract and timing outcomes

Leaf	Probability (%)	Delay quarters	Fulfillment (%)
on_time_1	68.000	0.000	100.000
on_time_0.75	9.600	0.000	75.000
on_time_0.5	2.400	0.000	50.000
two_quarter_delay_1	10.500	2.000	100.000
two_quarter_delay_0.75	3.750	2.000	75.000
two_quarter_delay_0.5	0.750	2.000	50.000
four_quarter_delay_1	2.500	4.000	100.000
four_quarter_delay_0.75	1.750	4.000	75.000
four_quarter_delay_0.5	0.750	4.000	50.000

29. Capacity, sourcing and the cost bridge

Internal InP output capacity doubled year over year in the September quarter, one quarter ahead of the company’s earlier schedule. Management plans to more than double output again by the end of 2027. Its Texas and Sweden six-inch lines produce EMLs, continuous-wave lasers and photodiodes; Zurich is expected to begin six-inch production in the first half of 2027. Management says the necessary substrates and critical inputs have been arranged for the planned expansion.

The November call explains why greater output has not yet produced a large change in sourcing mix. Transceiver demand grew alongside internal laser production, absorbing the additional supply. Management expects more internal sourcing over future quarters and identifies that shift as a major remaining cost opportunity. Current internal InP output is consumed inside Coherent products.

The model connects the capacity path to shipments with a one-quarter production lag. It first reserves relevant output for PhotonLink and then limits the transceiver insourcing benefit to the remaining qualified supply. Absolute good-die counts are undisclosed. The model uses normalized capacity and an estimated internal-sourcing fraction. Wafer area, yield and production scale enter the same economic chain and require consistent units.

Capital spending builds the equipment and facilities supporting that expansion. The financial model separates cash paid for capex, capital purchases remaining in accounts payable, commissioning dates and depreciation. It also separates the cost of externally sourced inputs from the incremental benefit of moving more production internally.

30. Source exhibit



Figure 15. Coherent's June 18, 2026 Sherman manufacturing image. The model separately identifies capex, commissioning, qualified output and depreciation.

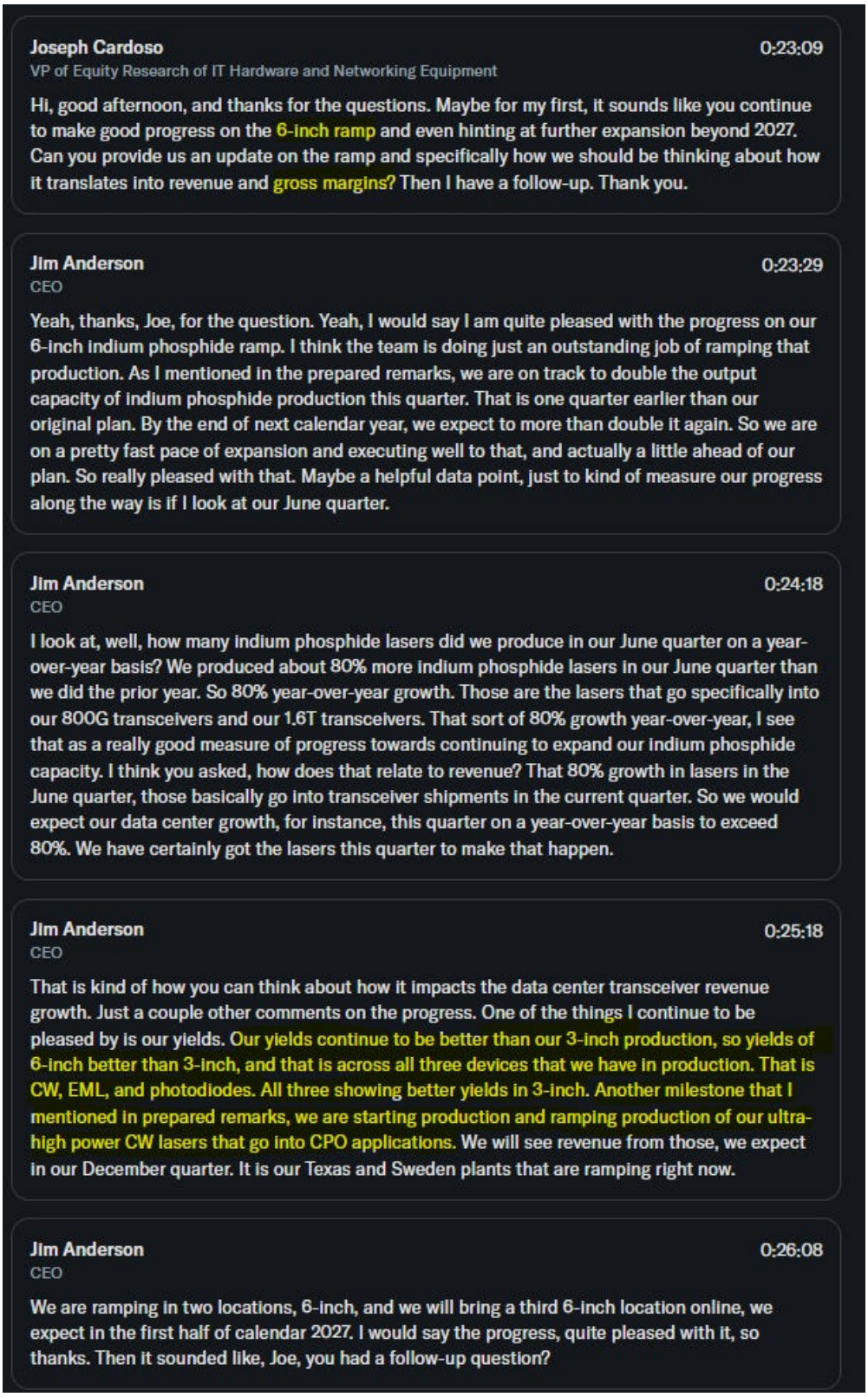
31. Source exhibit

solution. Management said it has more than 25 engagements across the aforementioned applications, with customers adopting at different rates based largely on their optimization of performance and cost. CPO offers better performance and power efficiency by bringing optics directly into the package, but sacrifices serviceability, while NPO retains a pluggable architecture and therefore greater flexibility. That said, Coherent suggested it is agnostic between the two technologies, with broadly similar content opportunity. PhotonLink revenue will begin to ramp in C4Q, with gross margins above the company average.

- **InP and VCSELs to address complementary optical use cases.** InP and GaAs technologies are viewed as complementary, as InP remains better suited to longer-reach applications, while VCSEL arrays can address shorter-reach integrated-optics, NPO, and chip-to-chip applications. Importantly, Coherent has capacity for more than 1bn VCSEL arrays annually and expects scale-up to use a mix of InP and VCSEL, depending on customer architecture, while scale-out remains predominantly InP.
- **FY27 growth set to exceed FY26 as new platforms layer on.** The FY27 growth outlook should exceed FY26, with the Sep-Q guide implying >50% y/y pro forma growth, and management expects to reach its first $3 bn quarterly revenue level before the end of FY27. Growth is being driven both by strong existing products, particularly pluggable TRx, and by newer platforms including PhotonLink, OCS, and multi-rail, which are layering on top of an already strong underlying demand environment rather than replacing existing growth drivers.
- **Supply, not demand, constrains growth.** Demand currently exceeds Coherent's available manufacturing capacity, with supply rather than demand characterized as the primary constraint on growth. Coherent is currently quadrupling InP capacity over 24 months and has already doubled capacity versus the prior year, but noted that the full expansion is already sold out. Importantly, capacity is expected to continue expanding beyond the current program, although the pace is constrained by the physical requirements of building factories, installing equipment, and training operators.
- **Pricing, mix, and structural cost reductions drive margin expansion.** The three main sources of margin expansion are continued pricing on existing products, a mix shift toward higher-margin new products, and structural cost reductions. Strong demand relative to supply has allowed the company to raise prices, while newer products such as PhotonLink, OCS, and multi-rail should be positive to mix. On the cost side, the transition to 6-inch InP is expected to materially reduce unit costs, with each wafer producing >4x as many devices at less than half the cost of a 3-inch wafer. Gross margin has increased from 34% in FY24 to guided levels of 40.5%, with a goal of >42% and management expecting further expansion beyond that level.
- **LTAs reducing capacity risk.** Long-term agreements are generally structured around fixed volumes, often on a take-or-pay basis, with pricing designed to support margin objectives. Importantly, customers can fund a meaningful portion of the capacity investment, with Nvidia cited as an example and Coherent noting that it uses those funds to build dedicated capacity while targeting an 18-month payback. More broadly, management noted that LTAs can include customer prepayments or other upfront commitments, reducing the amount of capital at risk when expanding capacity.
- **Western-based photonics footprint supports resilient supply chain positioning.** Critical photonic ingredients underlying the products are primarily manufactured in the U.S. and Europe, with alternative Western sources available where China is part of the supply chain. Importantly, assembly/test of transceivers is viewed as the least differentiated portion of the value chain, with the key IP and gross-margin dollars residing in lasers, isolators, TECs, and other optical ingredients. This vertical integration is presented as an advantage, with Western customers seeking a resilient supply chain. Separately, China represents a small percentage of revenue at ~10%.

Figure 16. Continuation of the supplied conference note. Capacity, pricing and contract comments are attributed to management; exact units and cost denominators need separate interpretation.

32. Source exhibit



Joseph Cardoso 0:23:09
VP of Equity Research of IT Hardware and Networking Equipment

Hi, good afternoon, and thanks for the questions. Maybe for my first, it sounds like you continue to make good progress on the 6-inch ramp and even hinting at further expansion beyond 2027. Can you provide us an update on the ramp and specifically how we should be thinking about how it translates into revenue and gross margins? Then I have a follow-up. Thank you.

Jim Anderson 0:23:29
CEO

Yeah, thanks, Joe, for the question. Yeah, I would say I am quite pleased with the progress on our 6-inch indium phosphide ramp. I think the team is doing just an outstanding job of ramping that production. As I mentioned in the prepared remarks, we are on track to double the output capacity of indium phosphide production this quarter. That is one quarter earlier than our original plan. By the end of next calendar year, we expect to more than double it again. So we are on a pretty fast pace of expansion and executing well to that, and actually a little ahead of our plan. So really pleased with that. Maybe a helpful data point, just to kind of measure our progress along the way is if I look at our June quarter.

Jim Anderson 0:24:18
CEO

I look at, well, how many indium phosphide lasers did we produce in our June quarter on a year-over-year basis? We produced about 80% more indium phosphide lasers in our June quarter than we did the prior year. So 80% year-over-year growth. Those are the lasers that go specifically into our 800G transceivers and our 1.6T transceivers. That sort of 80% growth year-over-year, I see that as a really good measure of progress towards continuing to expand our indium phosphide capacity. I think you asked, how does that relate to revenue? That 80% growth in lasers in the June quarter, those basically go into transceiver shipments in the current quarter. So we would expect our data center growth, for instance, this quarter on a year-over-year basis to exceed 80%. We have certainly got the lasers this quarter to make that happen.

Jim Anderson 0:25:18
CEO

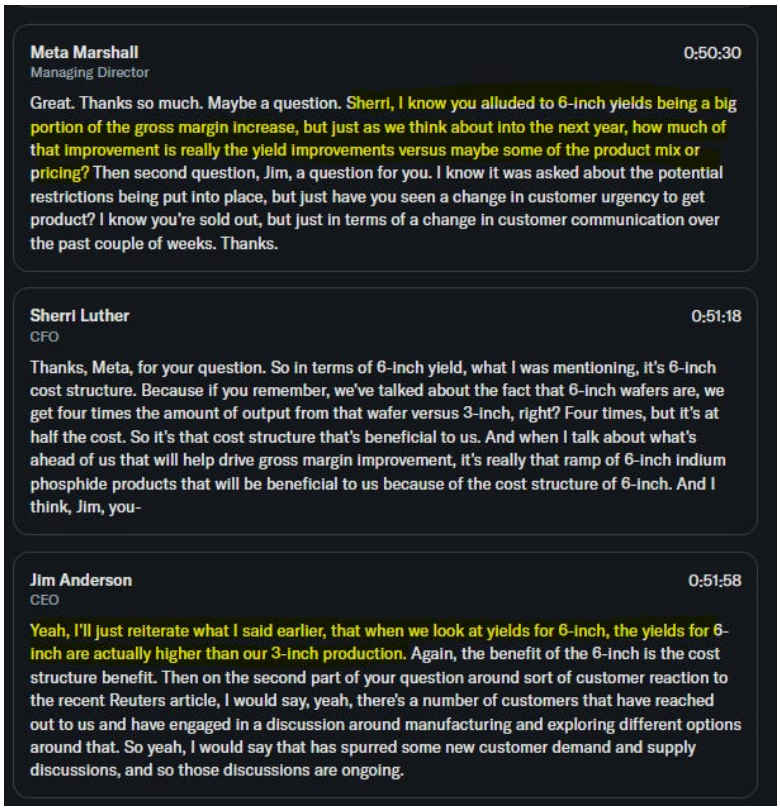
That is kind of how you can think about how it impacts the data center transceiver revenue growth. Just a couple other comments on the progress. One of the things I continue to be pleased by is our yields. Our yields continue to be better than our 3-inch production, so yields of 6-inch better than 3-inch, and that is across all three devices that we have in production. That is CW, EML, and photodiodes. All three showing better yields in 3-inch. Another milestone that I mentioned in prepared remarks, we are starting production and ramping production of our ultra-high power CW lasers that go into CPO applications. We will see revenue from those, we expect in our December quarter. It is our Texas and Sweden plants that are ramping right now.

Jim Anderson 0:26:08
CEO

We are ramping in two locations, 6-inch, and we will bring a third 6-inch location online, we expect in the first half of calendar 2027. I would say the progress, quite pleased with it, so thanks. Then it sounded like, Joe, you had a follow-up question?

Figure 17. August 12 management commentary on InP output and the production-to-transceiver shipment lag.

33. Source exhibit



Meta Marshall 0:50:30
Managing Director

Great. Thanks so much. Maybe a question. Sherri, I know you alluded to 6-inch yields being a big portion of the gross margin increase, but just as we think about into the next year, how much of that improvement is really the yield improvements versus maybe some of the product mix or pricing? Then second question, Jim, a question for you. I know it was asked about the potential restrictions being put into place, but just have you seen a change in customer urgency to get product? I know you're sold out, but just in terms of a change in customer communication over the past couple of weeks. Thanks.

Sherri Luther 0:51:18
CFO

Thanks, Meta, for your question. So in terms of 6-inch yield, what I was mentioning, it's 6-inch cost structure. Because if you remember, we've talked about the fact that 6-inch wafers are, we get four times the amount of output from that wafer versus 3-inch, right? Four times, but it's at half the cost. So it's that cost structure that's beneficial to us. And when I talk about what's ahead of us that will help drive gross margin improvement, it's really that ramp of 6-inch indium phosphide products that will be beneficial to us because of the cost structure of 6-inch. And I think, Jim, you-

Jim Anderson 0:51:58
CEO

Yeah, I'll just reiterate what I said earlier, that when we look at yields for 6-inch, the yields for 6-inch are actually higher than our 3-inch production. Again, the benefit of the 6-inch is the cost structure benefit. Then on the second part of your question around sort of customer reaction to the recent Reuters article, I would say, yeah, there's a number of customers that have reached out to us and have engaged in a discussion around manufacturing and exploring different options around that. So yeah, I would say that has spurred some new customer demand and supply discussions, and so those discussions are ongoing.

Figure 18. August 12 management commentary on six-inch costs and yields. The current model separates wafer area, qualified output and sourcing mix.

34. Qualification evidence and temporary rework

High-power continuous-wave light sources must meet the receiver and packaging requirements of the selected customer architecture. Optical power, drive current, temperature, phase noise, relative intensity noise, coupling efficiency and aging behavior describe different parts of that acceptance surface. The issuer’s original plots preserve their measurement conditions; a result at one operating point does not supply the complete customer qualification matrix.

The retained technical exhibits include Coherent’s original power, efficiency and phase-noise slide, an analyst comparison and an excerpt explaining the integration limits used in linewidth measurement. These sources help define the engineering question. The analyst overlay has incomplete raw traces and normalization details, which limits a quantitative vendor comparison.

Management’s shipment expectations, production-wafer commentary and disclosed customer agreements provide commercial evidence. Customer acceptance and field reliability still determine realized delivery timing. The model applies a finite temporary delay and support phase to the exposed existing-PhotonLink invoices, then recovers those invoices once. The new agreement has its own complete ramp-delay branches and a shared timing state.

35. Source exhibit

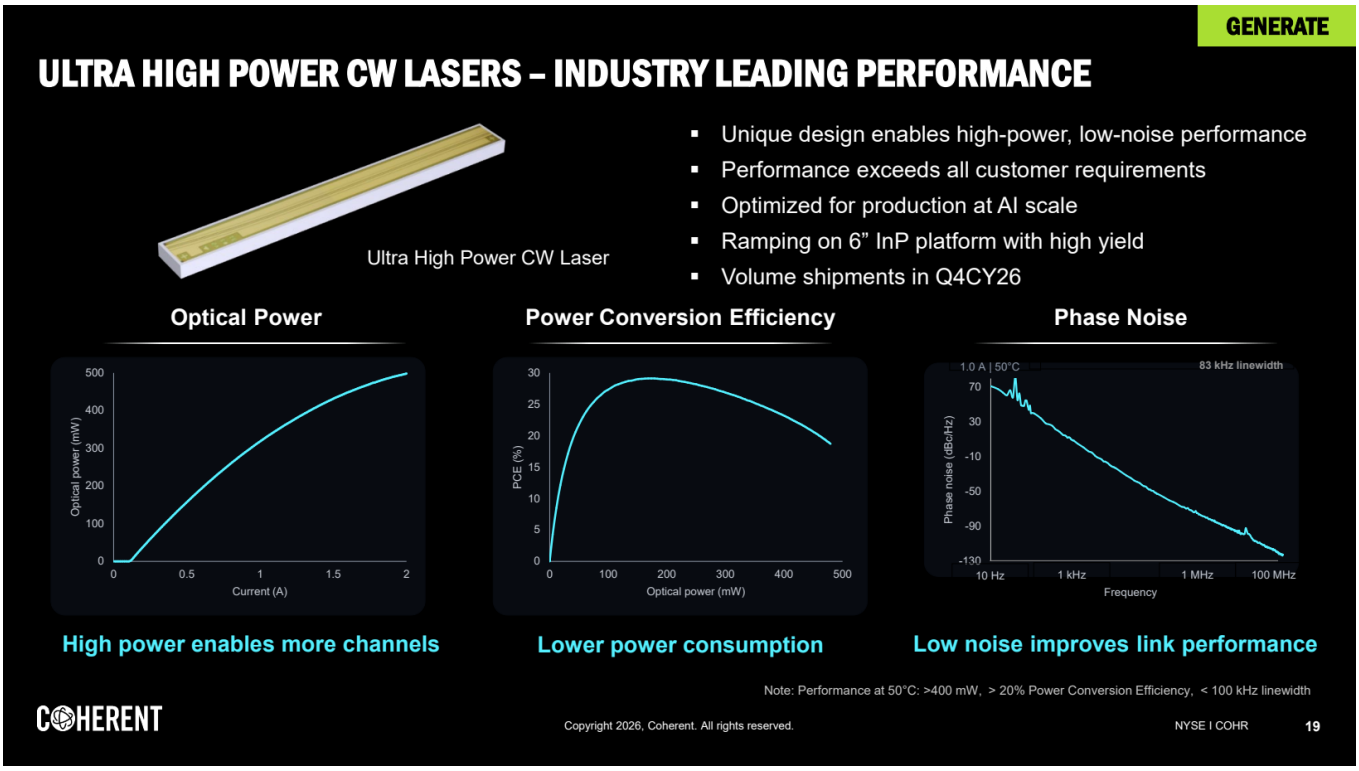


Figure 19. Original September 21, 2026 PhotonLink slide 19. The phase-noise panel labels 1.0 A,50°C and 83 kHz. Each measurement retains its specified operating conditions.

36. Source exhibit

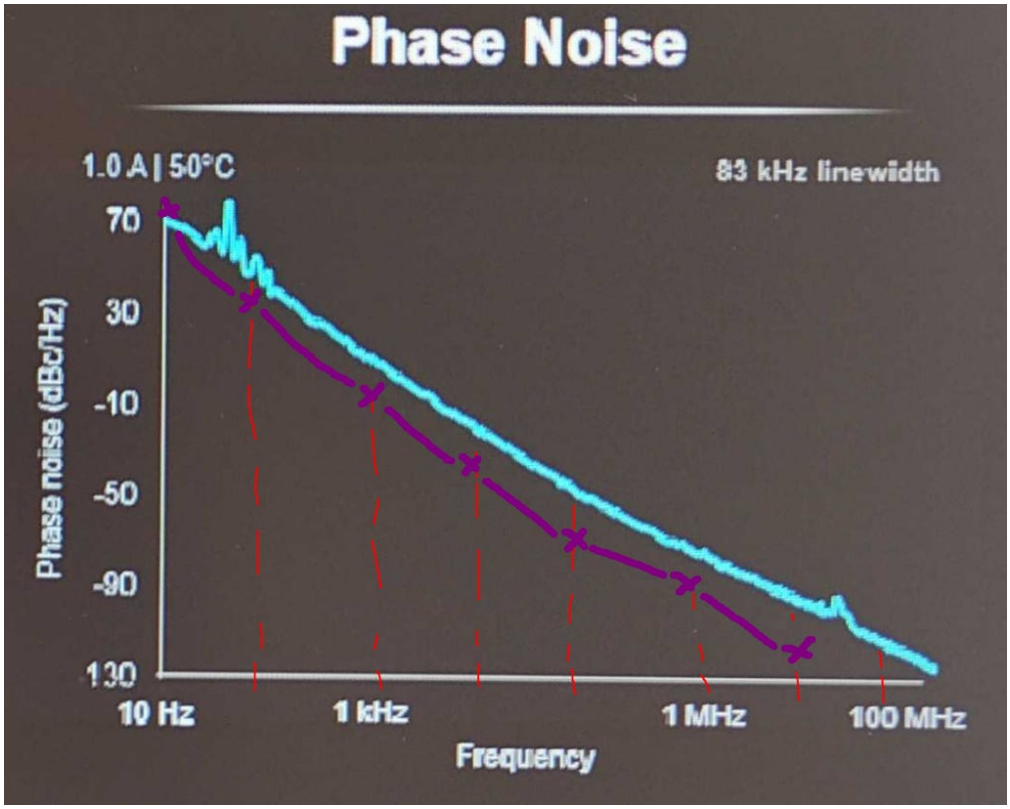


Figure 20. An analyst’s annotated phase-noise comparison. Raw matched-condition traces and complete integration parameters are unavailable.

37. Source exhibit

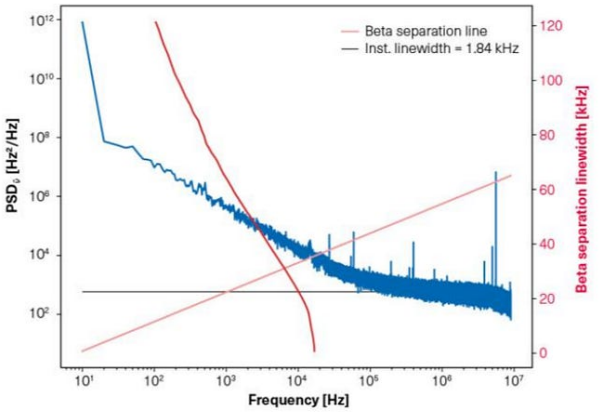


Fig. 1: Power spectral density (PSD) of the laser´s frequency noise (blue curve). The black, horizontal line indicates the white noise level caused by intrinsic noise. The orange line is the beta separation line. Only components of the frequency PSD which lie above this line contribute to the beta separation linewidth. The red line is the beta separation linewidth as a function of the lower integration limit.

specifications which can be found on TOPTICA´s website and the laser diode stock lists.[4]
Second, we define the *beta separation linewidth*, which is based on the beta separation line introduced by Di Domenico et al. [5]

$$\Delta\nu_\beta = \sqrt{8\ln(2)A}, \tag{2}$$

where A is the surface under the portions of $PSD_{\tilde{\nu}}(f)$ that exceed the beta separation line [5]

$$A = \int_{f_0}^{\infty} H\left(PSD_{\tilde{\nu}}(f) - \frac{8\ln(2)\,f}{\pi^2}\right) PSD_{\tilde{\nu}}(f)df, \tag{3}$$

with $H(x)$ being the Heaviside unit step function ($H(x) = 1$ if $x \geq 0$ and $H(x) = 0$ if $x < 0$) and f_0 being a lower integration limit. This quantity is a FWHM linewidth which approximates the linewidth of the actual power spectrum of the laser´s electric field with an integration time of $T_0 = 1/f_0$. For many diodes TOPTICA can provide the beta separation linewidth upon request for various lower integration limits. For the example in *Fig. 1* only noise below approximately 20 kHz contributes to this FWHM linewidth, while noise above this threshold contributes to the pedestal

Figure 21. Linewidth-method excerpt explaining the spectral integration boundary and observation interval.

38. Source exhibit

Irrational Analysis @insane_analyst · Jul 8

A little (sell-side) bird told me Nvidia NPO laser requirments are "more DCI like".

My view is this means narrower linewidth. Say 0.1-0.3 MHz vs 0.5-1 MHz prior.

To get good density on NPO, Nvidia needs to boost modulation speed. Thus need better extinction ratio.

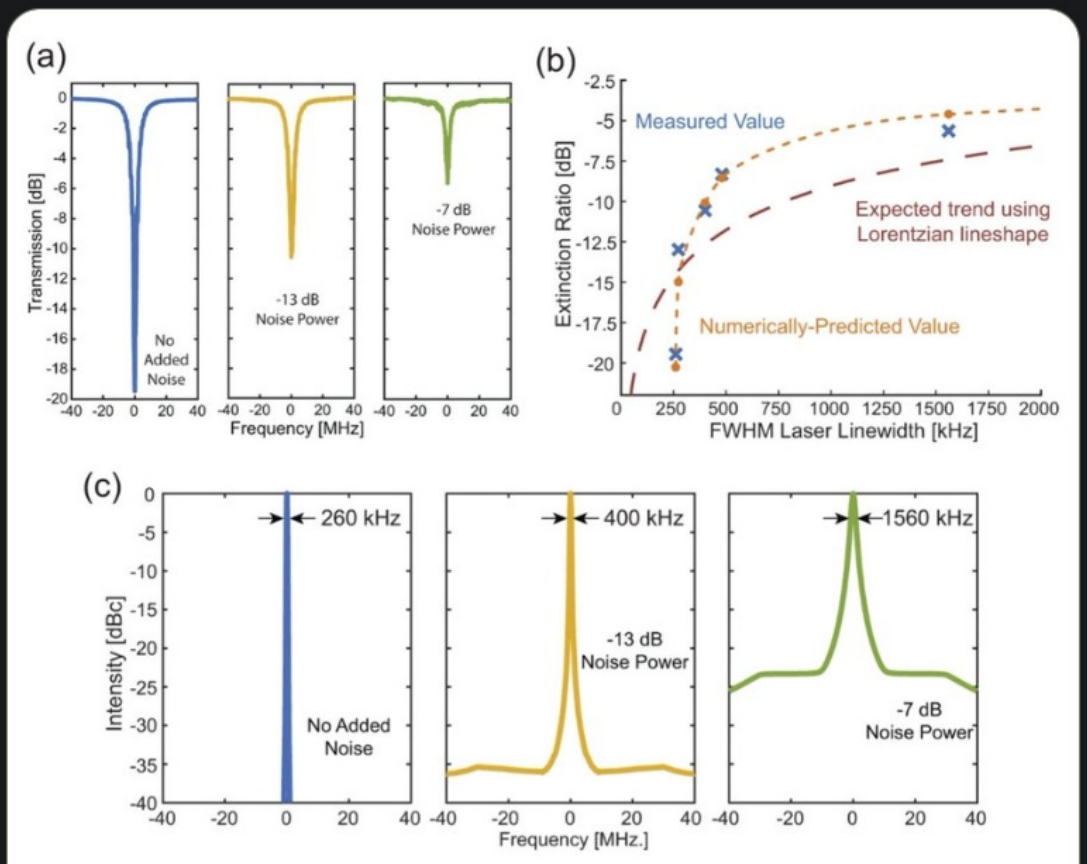


Fig. 4. (a) Example measured transmission spectra, at various levels of injected noise. (b) The measured extinction ratio (blue crosses) and the numerically-predicted values using the computed lineshapes from (a) (orange dots), with a curve fit to illustrate the trend (orange dashed line). Using a cross-correlation with analytic filter/signal functions for a given laser FWHM (red dashed line), does not follow the experimental data, and diverges quite strongly at small FWHM linewidths. (c) Calculated laser lineshapes using the Fourier transform of the frequency noise spectrum. The given widths are the FWHM of these spectra.

13 9 185 43K

Figure 22. A reproduced experimental noise illustration from the July commentary. Its measurements retain the experiment's stated conditions.

39. Source exhibit

Papa Talla Sylla: It is clear that demand for 1.6T is very strong in early deployments. Can you touch on the mix you are seeing between EML, SiPho, and perhaps VCSEL? And what would be the margin implications of selling a higher SiPho transceiver versus EML, or vice versa?

James Robert Anderson: We do not see a significant margin difference between EML- or SiPho-based transceivers; both are in the same ballpark of gross margin, and we are ramping both. On 1.6T, we are ramping both EML- and SiPho-based products. Remember, even a SiPho-based transceiver requires a CW laser based on indium phosphide, so both require indium phosphide capacity—another reason we are driving the indium phosphide ramp. For us, the EML versus SiPho mix is determined by customer application—pros and cons vary by use case, and we work with customers to choose the best fit. We do expect VCSELs to be used later as well.

Our 200G VCSEL development is going very well, and we expect 200G VCSELs to be adopted in some CPO or NPO applications. The initial 1.6T ramp is a combination of EML and SiPho.

Figure 23. Historical management Q&A about EML and silicon-photonics transceiver mix, blended margins and InP light sources.

40. Source exhibit

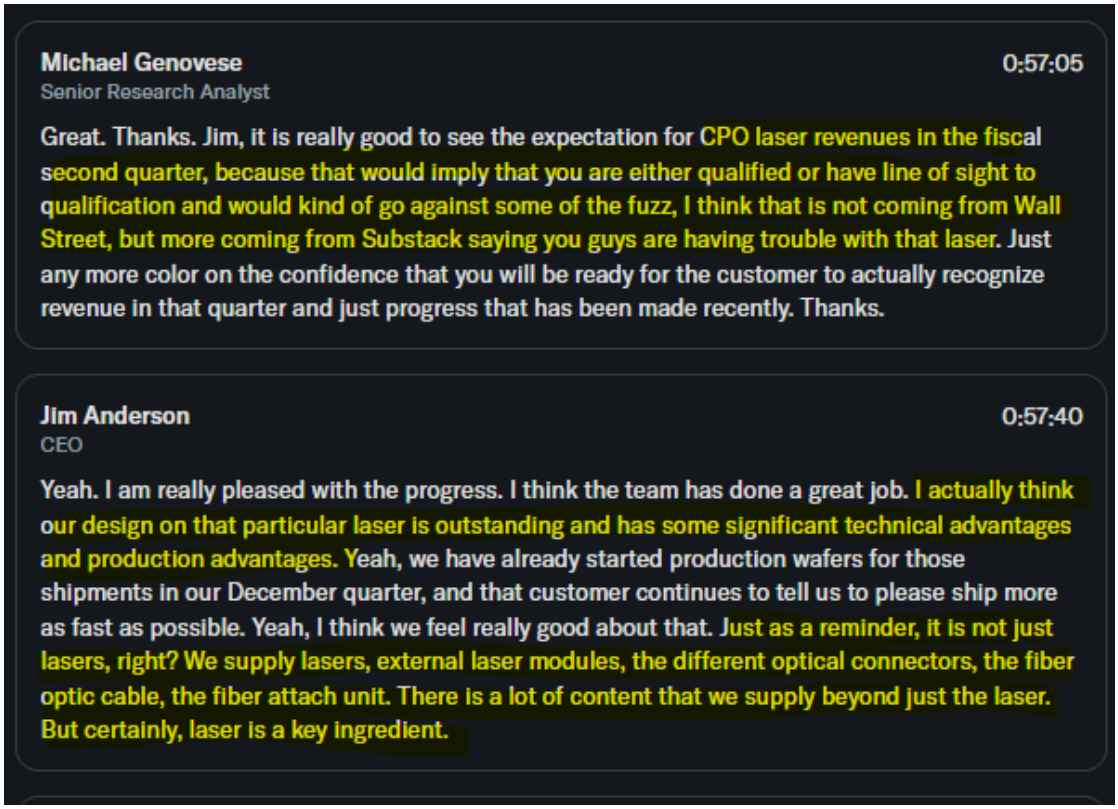


Figure 24. August 12 management commentary on the 400 mW ramp and anticipated December shipments. The November call supplies the latest timing update.

41. Architecture and unit scope

Optical modules, optical engines, external light-source modules, individual lasers and a full PhotonLink solution are different invoice units. Their stated prices and capacities require matching scope before they can be compared. The report retains the source crops with that unit boundary beside them.

The original transmitter diagram and manufacturing-cost illustration come from attributed third-party analysis. The diagrams provide context for packaging, polarization, wafer area and process economics. Customer-selected architecture, vendor-specific yields and complete component costs remain separate evidence questions.

The submitted NPO Q&A crop describes optical engines excluding DSP and contains explicit volume and ASP estimates. Its author and original date are unresolved. The current analysis treats the crop as a bounded contextual source and uses clearly defined module or platform revenue vectors for the active financial model.

The anonymous NPO source case has a conditional revenue estimate of $649.125 million from its stated volumes and selected engine ASPs. Its source-case weight is 20%, with a 100% overlap disposition inside the identified existing-PhotonLink opportunity. It adds no separate revenue line. The model retains this scope check as quantities and customer programs evolve.

The liquid-cooled module photograph illustrates another part of the integration burden: optical, electrical and thermal requirements must be met together in a deployable product. It informs the engineering discussion without assigning an additional revenue stream to the image.

42. Source exhibit

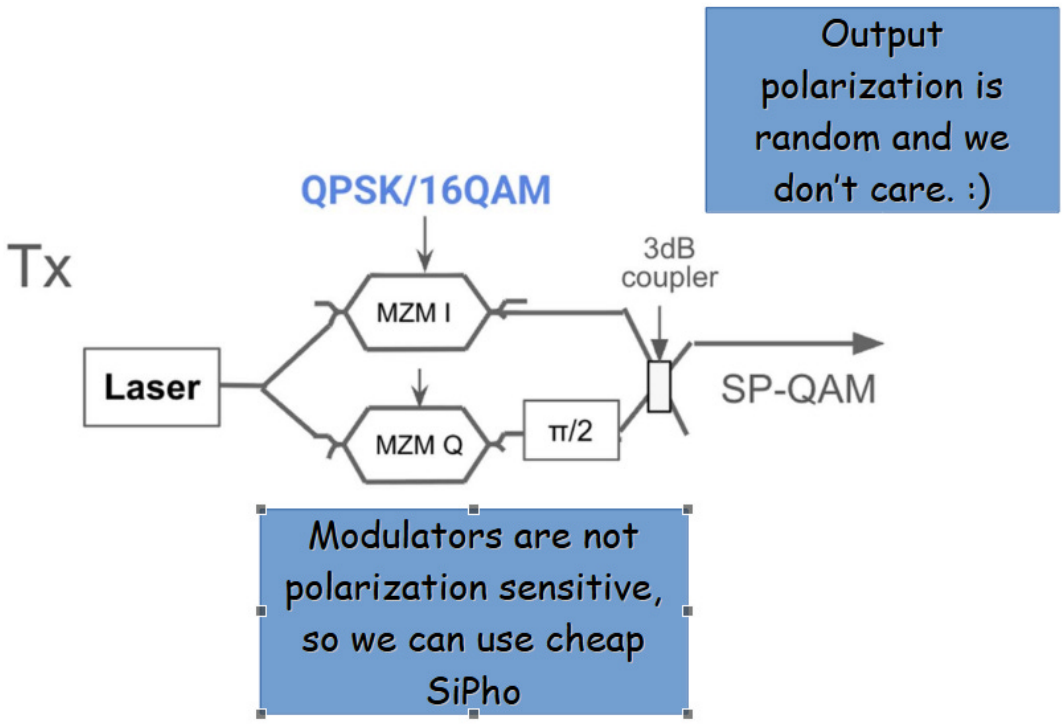


Figure 25. Author-annotated transmitter diagram attributed to a published optical architecture. The annotations remain attributable to that author.

43. Source exhibit

Product	100 mW CW	400 mW CW (0.5-1 MHz linewidth) *competent vendor	400 mW CW (0.5-1 MHz linewidth) *loser vendor	200G EML	Coherent lite Rx
width (mm)	0.25	0.5	0.5	0.25	2
length (mm)	1	3	5	1.5	5
area (mm^2)	0.25	1.5	2.5	0.375	10
wafer size (in)	4	4	4	4	6
dice per wafer	25888	4308	2526	17200	1513
Yield %	50	50	30	30	20
good dice	12944	2154	757.8	5160	302.6
Package yield %	50	50	50	50	80
sellable dice	6472	1077	378.9	2580	242.08
pkg cost $	500	500	500	500	1000
wafer cost $	500	500	500	500	700
process cost $	4000	4000	4000	4000	5000
COGS per dice $	0.8	4.6	13.2	1.9	27.7

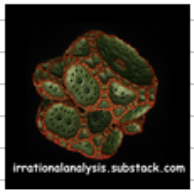


Figure 26. Illustrative die-area, yield and cost calculations from the June article. Those inputs are author estimates; current company cash costs have a separately defined model.

44. Source exhibit

A: NPO is segmented by 1.6T, 3.2T and 6.4T. Statistics only count near-packaged NPO optical engines, excluding DSP, covering optoelectronic conversion components only. ASP refers to factory-gate price per optical engine. 2026 is dominated by sampling and small-scale testing. Volume ramp begins in H1 2027, with full ramp and mass scaling in H2 2027. 2027 is regarded as the inaugural year for NPO, albeit limited shipments will occur in 2026.

In 2026, global 1.6T NPO demand is roughly 280,000 sets; Coherent's volume stands at 32,000–33,000 sets at $800–$820 ASP. Global 3.2T NPO demand is around 80,000 sets; estimates are less reliable given low industry-wide volumes. Coherent ships just above 6,000 and below 7,000 sets with average ASP ~$1,150 and high price volatility. Global 6.4T demand is roughly estimated at nearly 20,000 sets; Coherent ships close to 2,000 sets at ASP ~$1,900.

In 2027, global 1.6T NPO demand is about 1.6 million sets. As the product is in early ramp with clear demand, capacity can be treated as achievable demand. Coherent targets 220,000–230,000 sets, subject to full utilization of production lines: up to 230,000 at full capacity or ~220,000 if lines are not fully loaded. ASP ranges from $700–$710, likely slightly above $700. Global 3.2T NPO demand is 2.1 million sets; Coherent targets 380,000–400,000 sets with ASP expected below $1,000. Global 6.4T demand is 450,000 sets; Coherent's target is 80,000 sets, though full target fulfillment is not guaranteed, with a realistic range of 70,000–80,000 sets and ASP ~$1,600.

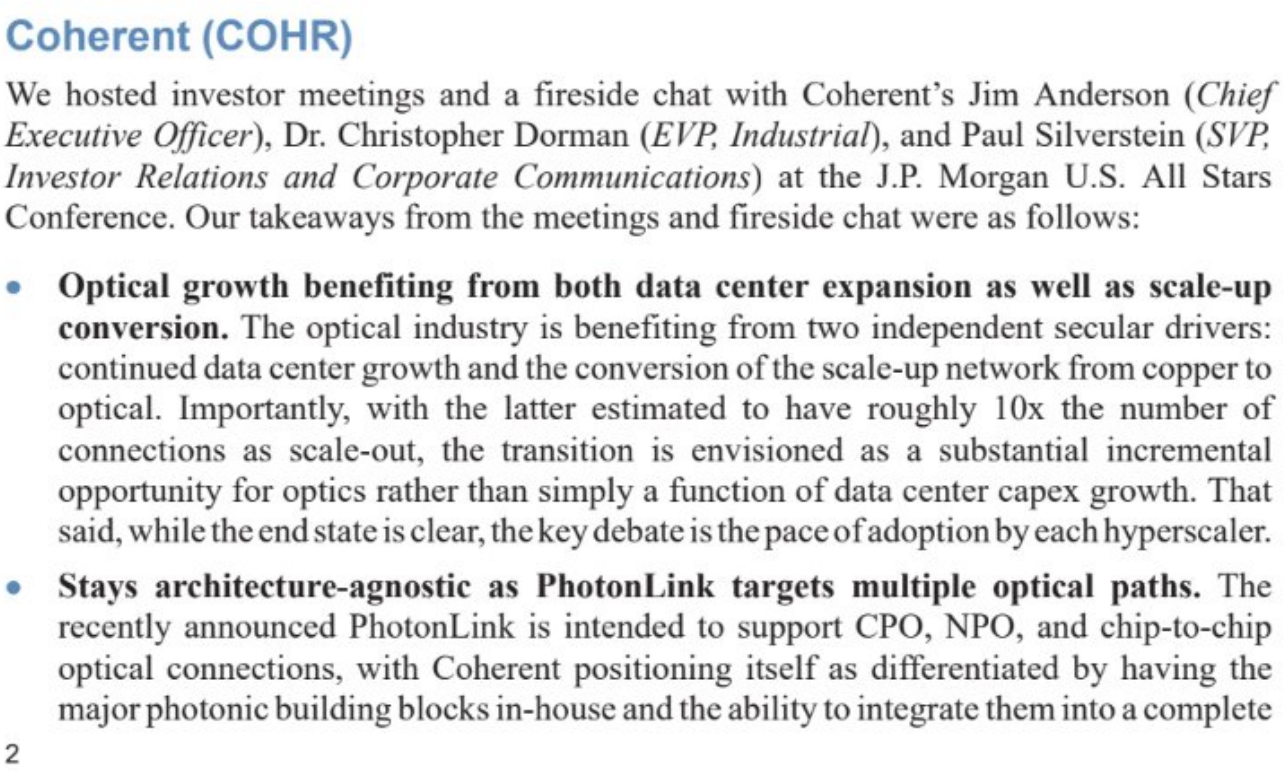
Figure 27. User-supplied NPO Q&A crop with incomplete author/date metadata. The volume and price estimates refer to optical engines excluding DSP.

45. Source exhibit



Figure 28. Liquid-cooled optical module in the public ECOC excerpt, illustrating packaging and thermal integration.

46. Source exhibit



Coherent (COHR)

We hosted investor meetings and a fireside chat with Coherent's Jim Anderson (*Chief Executive Officer*), Dr. Christopher Dorman (*EVP, Industrial*), and Paul Silverstein (*SVP, Investor Relations and Corporate Communications*) at the J.P. Morgan U.S. All Stars Conference. Our takeaways from the meetings and fireside chat were as follows:

- **Optical growth benefiting from both data center expansion as well as scale-up conversion.** The optical industry is benefiting from two independent secular drivers: continued data center growth and the conversion of the scale-up network from copper to optical. Importantly, with the latter estimated to have roughly 10x the number of connections as scale-out, the transition is envisioned as a substantial incremental opportunity for optics rather than simply a function of data center capex growth. That said, while the end state is clear, the key debate is the pace of adoption by each hyperscaler.
- **Stays architecture-agnostic as PhotonLink targets multiple optical paths.** The recently announced PhotonLink is intended to support CPO, NPO, and chip-to-chip optical connections, with Coherent positioning itself as differentiated by having the major photonic building blocks in-house and the ability to integrate them into a complete

2

Figure 29. User-supplied conference-note crop about optical demand and architecture. The report header is missing; its probable September 2026 attribution remains provisional.

47. Selected physical and price assumptions

Prices are selected USD per module-equivalent. The final column is the percent of native 1.6T bandwidth migrated through the two-to-one replacement rule.

Quarter	Legacy ASP	800G ASP	1.6T ASP	3.2T ASP	3.2T migration
Q4 2026	147.000	420.000	800.000	Unavailable	0.000
Q1 2027	144.060	415.000	787.500	Unavailable	0.000
Q2 2027	141.179	410.000	775.000	Unavailable	0.000
Q3 2027	138.355	405.000	762.500	1,500.000	2.000
Q4 2027	135.588	400.000	750.000	1,500.000	5.000
Q1 2028	132.876	380.000	712.500	1,425.000	10.000
Q2 2028	130.219	360.000	675.000	1,350.000	20.000
Q3 2028	127.614	340.000	637.500	1,275.000	30.000
Q4 2028	125.062	320.000	600.000	1,200.000	40.000
Q1 2029	122.561	312.000	585.000	1,170.000	50.000
Q2 2029	120.110	304.000	570.000	1,140.000	60.000
Q3 2029	117.708	296.000	555.000	1,110.000	70.000
Q4 2029	115.353	288.000	540.000	1,080.000	75.000
Q1 2030	113.046	281.000	526.500	1,053.000	80.000
Q2 2030	110.785	274.000	513.000	1,026.000	85.000
Q3 2030	108.570	267.000	499.500	999.000	90.000
Q4 2030	106.398	260.000	486.000	972.000	95.000

48. Cash manufacturing cost assumptions

These independent dollar costs and the learning factor are selected inputs. The insourcing saving and PPE depreciation are applied separately, with no additional wafer-area or yield multiplier.

Quarter	800G unit cost	1.6T unit cost	3.2T unit cost	Core cost factor
Q4 2026	236.107	419.751	0.000	0.980
Q1 2027	232.493	413.326	0.000	0.965
Q2 2027	227.674	404.760	0.000	0.945
Q3 2027	221.651	394.052	780.000	0.920
Q4 2027	216.833	385.485	772.200	0.900
Q1 2028	204.787	364.070	726.254	0.850
Q2 2028	192.740	342.654	681.150	0.800
Q3 2028	180.694	321.238	636.875	0.750
Q4 2028	168.648	299.822	593.418	0.700
Q1 2029	162.625	289.114	572.797	0.675
Q2 2029	156.601	278.406	552.528	0.650
Q3 2029	150.578	267.698	532.608	0.625
Q4 2029	144.555	256.990	513.031	0.600
Q1 2030	140.339	249.495	495.203	0.583
Q2 2030	136.123	241.999	477.681	0.565
Q3 2030	131.907	234.504	460.459	0.547
Q4 2030	127.690	227.008	443.534	0.530

49. Cash cost and contractual risk controls

Apply the noncore baseline calibration to its cash-cost ratios. Existing and new PhotonLink plus OCS are excluded from the FCC repricing pool. The new LTA retains its selected committed factory cash cost in delayed and lower-fulfillment branches.

Control	Selected treatment
Core eligible laser cost fraction	0.250
Internal sourcing cost discount	0.300
Noncore baseline rate calibration	0.002
Existing PhotonLink cost	0.380
New-LTA cost	0.400
New-LTA committed factory cash share	0.200
New-LTA variable share	0.800
FCC event weight	0.400
FCC eligible / repricable / premium	0.2 / 0.25 / 0.05

50. Temporary existing-PhotonLink qualification phase

The final column is the fraction of all scheduled existing-PhotonLink revenue deferred within a delayed timing branch. It ends when the finite phase reaches zero. Each affected invoice is recovered once using its selected two- or four-quarter delay and two-step catch-up.

Quarter	Phase	InP share	Fraction of all scheduled PL revenue deferred
Q4 2026	0.500	1.000	0.100
Q1 2027	1.000	1.000	0.200
Q2 2027	1.000	1.000	0.200
Q3 2027	1.000	1.000	0.200
Q4 2027	1.000	1.000	0.200
Q1 2028	0.500	0.750	0.075
Q2 2028	0.500	0.600	0.060
Q3 2028	0.000	0.500	0.000
Q4 2028	0.000	0.500	0.000
Q1 2029	0.000	0.500	0.000
Q2 2029	0.000	0.500	0.000
Q3 2029	0.000	0.500	0.000
Q4 2029	0.000	0.500	0.000
Q1 2030	0.000	0.500	0.000
Q2 2030	0.000	0.500	0.000
Q3 2030	0.000	0.500	0.000
Q4 2030	0.000	0.500	0.000

51. Module-equivalent shipment volumes

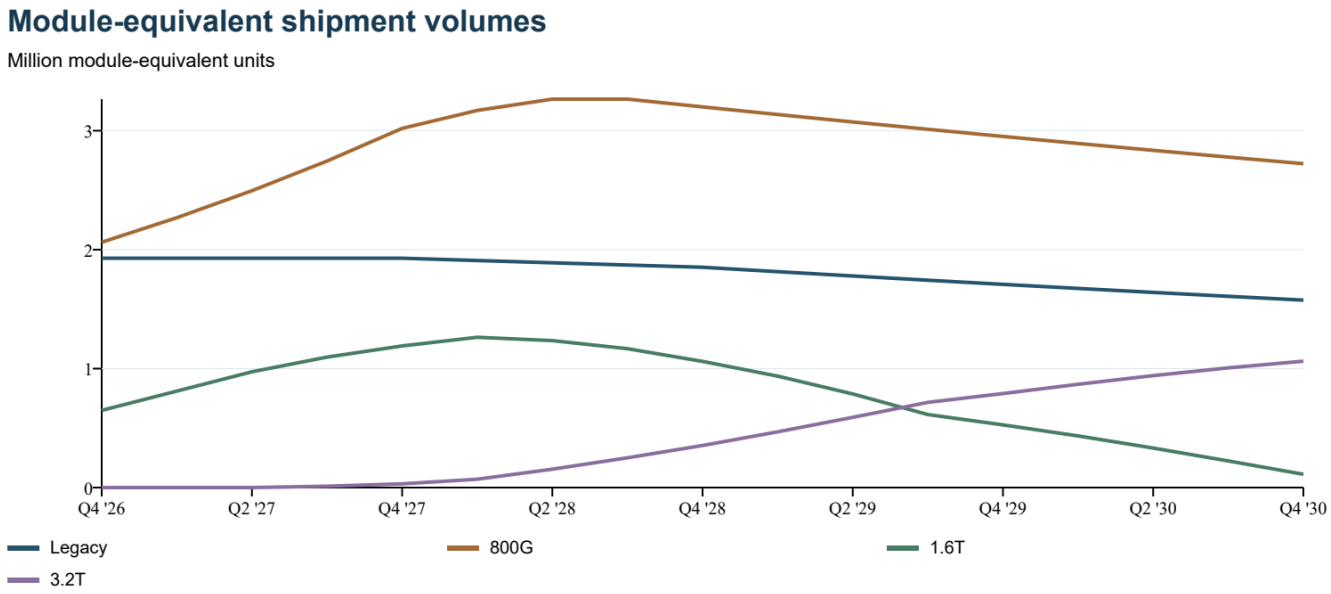


Figure 30. Volumes are analytical allocations. The 3.2T migration conserves bandwidth by replacing two 1.6T equivalents.

Quarter	Legacy	800G	1.6T	3.2T
Q4 2026	1.928	2.062	0.649	0.000
Q1 2027	1.928	2.268	0.811	0.000
Q2 2027	1.928	2.495	0.973	0.000
Q3 2027	1.928	2.745	1.097	0.011
Q4 2027	1.928	3.019	1.191	0.031
Q1 2028	1.909	3.170	1.263	0.070
Q2 2028	1.890	3.265	1.235	0.154
Q3 2028	1.871	3.265	1.167	0.250
Q4 2028	1.852	3.200	1.061	0.354
Q1 2029	1.815	3.136	0.937	0.468
Q2 2029	1.779	3.073	0.787	0.590
Q3 2029	1.743	3.012	0.614	0.716
Q4 2029	1.708	2.952	0.527	0.790
Q1 2030	1.674	2.893	0.434	0.868
Q2 2030	1.641	2.835	0.332	0.941
Q3 2030	1.608	2.778	0.224	1.006
Q4 2030	1.576	2.723	0.112	1.062

52. Qualified supply and laser reservation

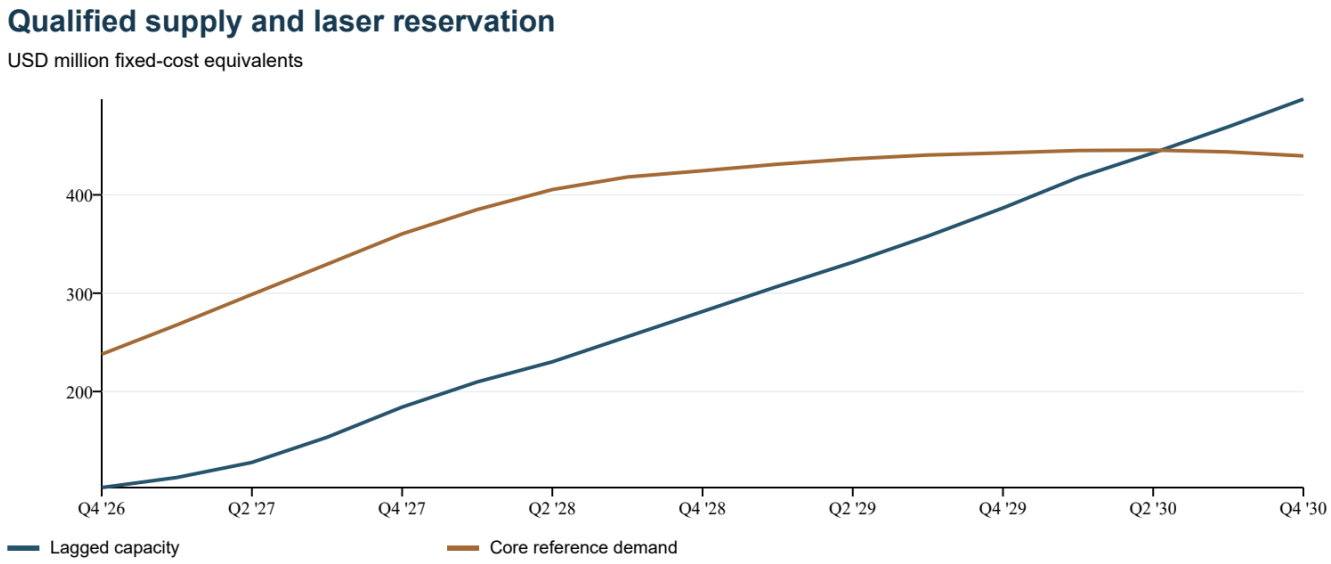


Figure 31. This normalized index uses fixed September input-cost equivalents. Actual good-die counts are undisclosed.

Quarter	Lagged capacity	Core reference demand
Q4 2026	102.312	237.912
Q1 2027	112.543	267.699
Q2 2027	127.890	298.728
Q3 2027	153.468	329.387
Q4 2027	184.162	360.299
Q1 2028	209.740	385.054
Q2 2028	230.202	405.375
Q3 2028	255.780	418.169
Q4 2028	281.358	424.520
Q1 2029	306.936	431.172
Q2 2029	331.491	436.593
Q3 2029	358.011	440.501
Q4 2029	386.652	442.646
Q1 2030	417.584	445.076
Q2 2030	442.639	445.472
Q3 2030	469.197	443.675
Q4 2030	497.349	439.591

53. Selected internal sourcing fraction

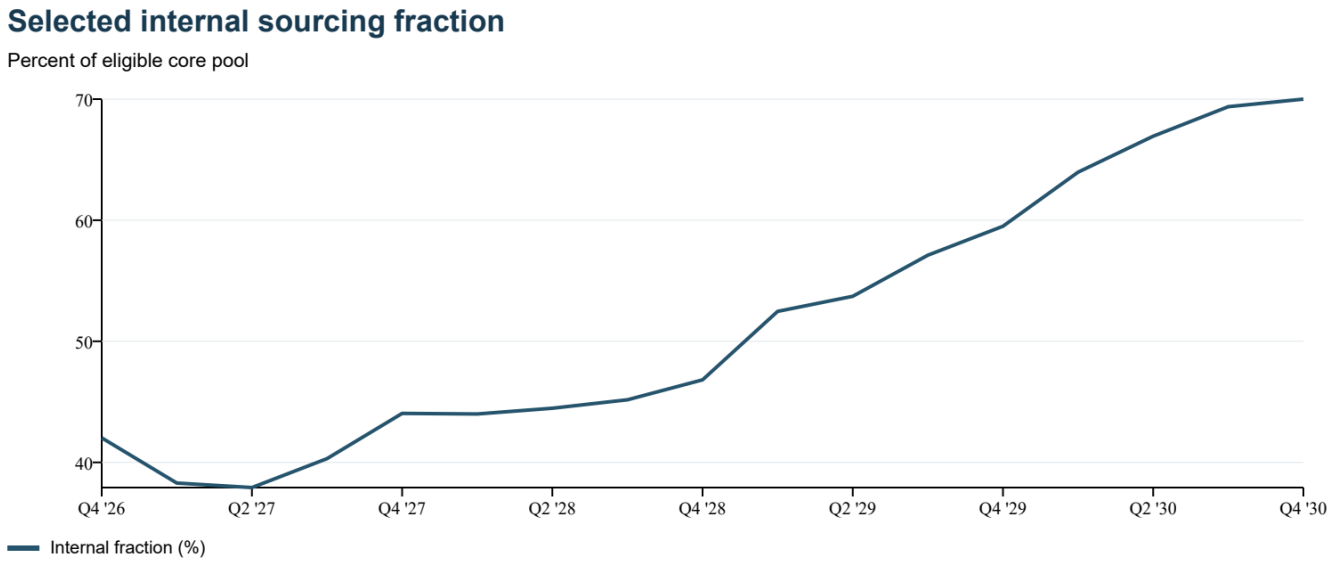


Figure 32. PhotonLink reservation and lagged qualified capacity constrain the selected sourcing fraction.

Quarter	Internal fraction (%)
Q4 2026	42.026
Q1 2027	38.294
Q2 2027	37.921
Q3 2027	40.309
Q4 2027	44.044
Q1 2028	43.998
Q2 2028	44.472
Q3 2028	45.170
Q4 2028	46.816
Q1 2029	52.471
Q2 2029	53.717
Q3 2029	57.111
Q4 2029	59.502
Q1 2030	63.967
Q2 2030	66.937
Q3 2030	69.375
Q4 2030	70.000

54. Gross and operating profit

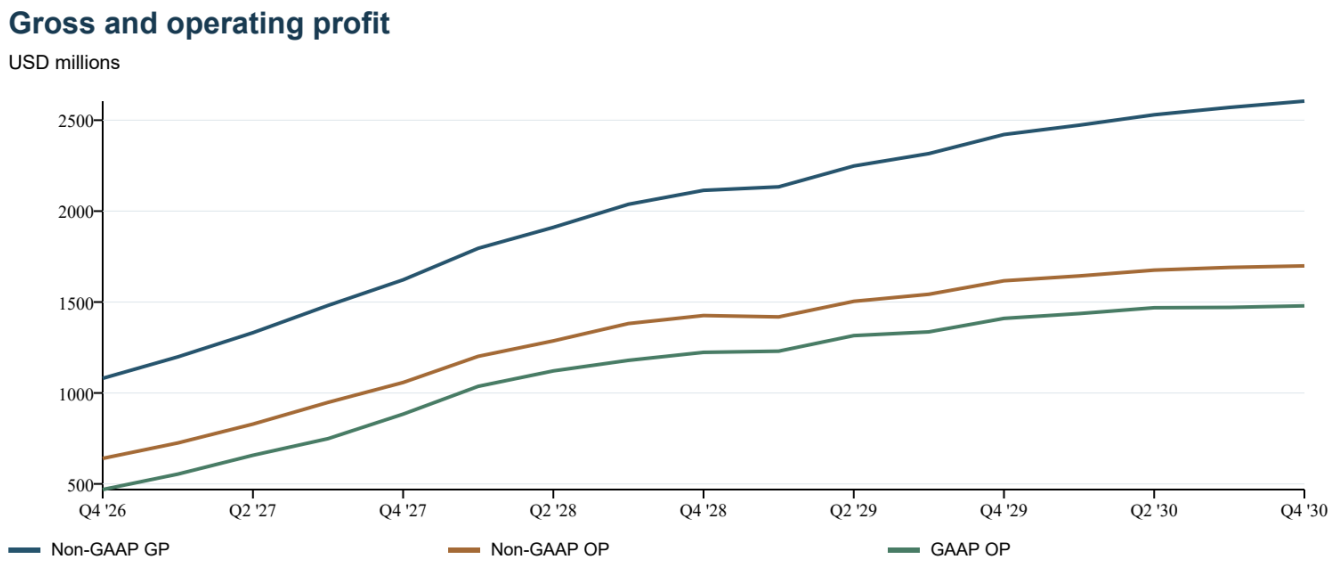


Figure 33. The sanctioned ceiling uses non-GAAP OP. The GAAP bridge retains equity compensation, acquired amortization and specified operating charges.

Quarter	Non-GAAP GP	Non-GAAP OP	GAAP OP
Q4 2026	1,080.425	640.077	468.737
Q1 2027	1,198.417	725.055	553.680
Q2 2027	1,331.375	828.721	657.312
Q3 2027	1,481.262	948.162	748.676
Q4 2027	1,622.147	1,057.610	883.588
Q1 2028	1,795.536	1,201.540	1,036.482
Q2 2028	1,910.689	1,286.383	1,121.288
Q3 2028	2,037.606	1,381.764	1,179.405
Q4 2028	2,114.259	1,425.794	1,223.397
Q1 2029	2,133.501	1,418.254	1,229.819
Q2 2029	2,248.260	1,503.906	1,315.432
Q3 2029	2,316.353	1,542.763	1,335.939
Q4 2029	2,421.312	1,616.932	1,410.068
Q1 2030	2,472.606	1,643.471	1,436.567
Q2 2030	2,529.917	1,675.592	1,468.647
Q3 2030	2,570.280	1,690.358	1,470.632
Q4 2030	2,604.970	1,698.851	1,479.084

55. Consolidated gross and operating margins

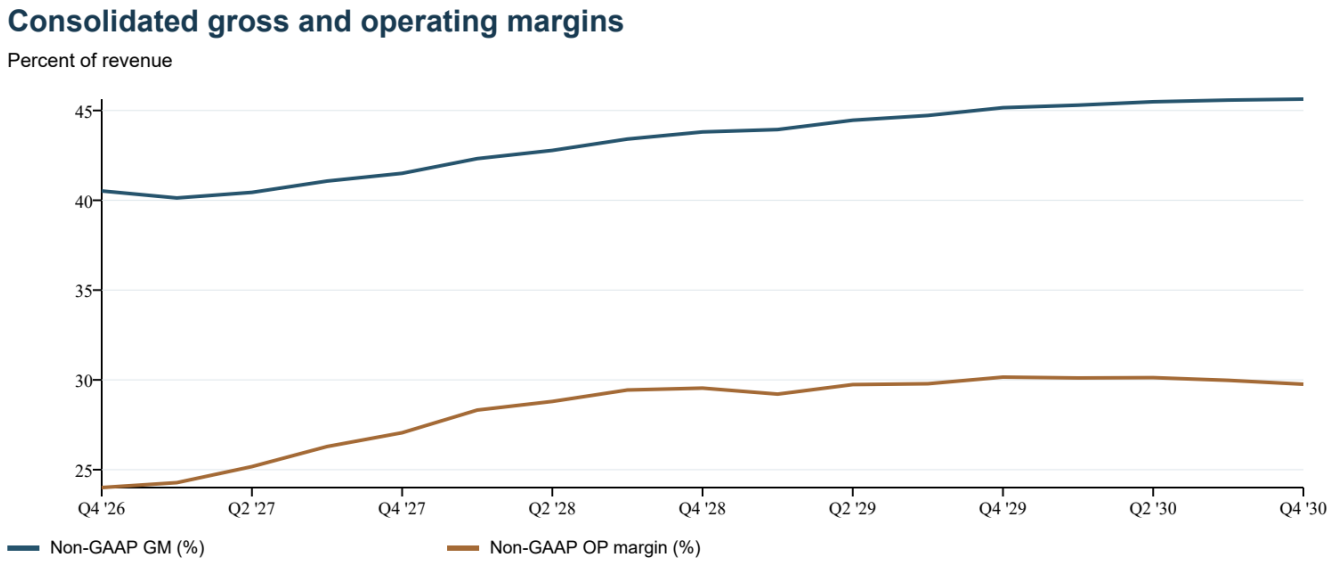


Figure 34. Both margins are derived from the same delivered-revenue and operating-cost model.

Quarter	Non-GAAP GM (%)	Non-GAAP OP margin (%)
Q4 2026	40.520	24.005
Q1 2027	40.130	24.279
Q2 2027	40.441	25.173
Q3 2027	41.070	26.289
Q4 2027	41.502	27.059
Q1 2028	42.320	28.320
Q2 2028	42.778	28.801
Q3 2028	43.410	29.438
Q4 2028	43.807	29.542
Q1 2029	43.939	29.209
Q2 2029	44.458	29.739
Q3 2029	44.723	29.787
Q4 2029	45.156	30.155
Q1 2030	45.298	30.108
Q2 2030	45.486	30.126
Q3 2030	45.579	29.975
Q4 2030	45.633	29.760

56. The modeled margin timetable

Management targets its first non-GAAP gross-margin quarter above 45% before the end of 2028. The selected model reaches 43.8067% in Q4 2028 and first exceeds 45% in Q4 2029. This forecast retains a later margin timetable than management’s objective.

The model’s separate product mix, learning, qualified-capacity and sourcing assumptions determine that result. No margin target is imposed as an additional uplift.

57. Quarterly operating model

Quarter	Revenue	NG GP	NG opex	NG OP	GAAP OP	Consolidated NI
Q4 2026	2,666.379	1,080.425	440.348	640.077	468.737	347.516
Q1 2027	2,986.339	1,198.417	473.362	725.055	553.680	411.689
Q2 2027	3,292.163	1,331.375	502.654	828.721	657.312	488.967
Q3 2027	3,606.648	1,481.262	533.100	948.162	748.676	558.374
Q4 2027	3,908.594	1,622.147	564.537	1,057.610	883.588	664.875
Q1 2028	4,242.727	1,795.536	593.996	1,201.540	1,036.482	787.948
Q2 2028	4,466.480	1,910.689	624.306	1,286.383	1,121.288	858.136
Q3 2028	4,693.826	2,037.606	655.841	1,381.764	1,179.405	906.769
Q4 2028	4,826.338	2,114.259	688.466	1,425.794	1,223.397	944.817
Q1 2029	4,855.570	2,133.501	715.247	1,418.254	1,229.819	955.104
Q2 2029	5,057.010	2,248.260	744.354	1,503.906	1,315.432	1,029.388
Q3 2029	5,179.377	2,316.353	773.589	1,542.763	1,335.939	1,066.372
Q4 2029	5,362.079	2,421.312	804.380	1,616.932	1,410.068	1,122.945
Q1 2030	5,458.571	2,472.606	829.134	1,643.471	1,436.567	1,152.395
Q2 2030	5,561.956	2,529.917	854.325	1,675.592	1,468.647	1,186.619
Q3 2030	5,639.165	2,570.280	879.921	1,690.358	1,470.632	1,197.864
Q4 2030	5,708.474	2,604.970	906.119	1,698.851	1,479.084	1,216.273

58. Capital investment and depreciation

Quarter	PPE additions	Capital AP	Depreciation	Net PPE	CIP
Q4 2026	900.000	527.734	119.435	4,650.379	989.571
Q1 2027	900.000	527.734	174.063	5,376.316	360.000
Q2 2027	900.000	527.734	206.206	6,070.110	360.000
Q3 2027	850.000	527.734	237.277	6,682.833	340.000
Q4 2027	850.000	527.734	267.634	7,265.198	340.000
Q1 2028	800.000	527.734	296.920	7,768.278	320.000
Q2 2028	800.000	527.734	325.491	8,242.787	320.000
Q3 2028	800.000	527.734	354.063	8,688.724	320.000
Q4 2028	800.000	527.734	382.634	9,106.090	320.000
Q1 2029	700.000	527.734	409.063	9,397.027	280.000
Q2 2029	700.000	527.734	434.063	9,662.964	280.000
Q3 2029	700.000	527.734	459.063	9,903.901	280.000
Q4 2029	700.000	527.734	484.063	10,119.838	280.000
Q1 2030	600.000	527.734	506.920	10,212.918	240.000
Q2 2030	600.000	527.734	528.349	10,284.570	240.000
Q3 2030	600.000	527.734	549.777	10,334.792	240.000
Q4 2030	600.000	527.734	571.206	10,363.587	240.000

59. The factories and working capital must be funded

At September 30, Coherent held $1,552.929 million of cash and equivalents and $200 million of short-term investments. Restricted cash totaled $583.414 million, predominantly within Silicon Carbide LLC. That subsidiary's funds have a specific use boundary. The unrestricted pool available to the broader funding analysis is therefore shown separately.

Quarterly operating cash flow was negative $92.681 million and cash capex was $775.547 million. Inventory and receivables grew substantially. Customer contract liabilities increased, while the company borrowed $773.355 million under other credit facilities. These movements show why a growing operating-profit result can coexist with cash consumption during a capacity expansion.

The report separates ordinary operating payables from the disclosed capital purchases included in accounts payable. Customer advances also require a release schedule: cash received before delivery funds the business today and reduces the cash collected when the corresponding revenue is recognized. The company does not allocate its reported contract liabilities to specific customers or to the new agreement.

Debt comes from facilities with different maturity, rate and borrower terms. The revolving facility's future availability depends on its covenants and the springing-maturity condition. The local facilities have eligible foreign-borrower uses. The model must test those constraints against completed-quarter financial information and show any funding shortfall when its sources are exhausted.

60. Shares, compensation and taxes

The latest cover reports 196.958669 million common shares at November 2. The September-quarter diluted weighted average was 202.026 million, including equity-award equivalents. Series B preferred stock had already converted into common shares, and the March NVIDIA issuance was already reflected in the opening capital structure. Its price-protection provision expired in September without an additional share or cash settlement.

The detailed June award inventory and September aggregate share movements support an estimated cohort bridge. The company does not disclose all new grants, vesting assumptions and service costs needed to reproduce the current award census exactly. The report therefore identifies the reconstruction and its comparison gap, then shows future grants, vesting, withholding and treasury-stock-method dilution explicitly.

The selected grant program also depends on future incentive-plan capacity. The report shows the amount and timing of additional authorization required. Its no-renewal sensitivity preserves existing awards and replaces unsupported new grants with cash retention compensation, bringing that cost into operating profit and cash flow.

The current GAAP tax benefit includes discrete items such as return-to-provision adjustments, excess share-compensation benefits and a changed China reinvestment assertion. The issuer uses a normalized 19% non-GAAP rate for fiscal 2027. Book tax, current-tax accruals, deferred balances and cash payments require separate treatment; the forecast does not repeat the quarter's discrete negative rate as a recurring benefit.

61. Source exhibit

OPERATING EXPENSES RECONCILIATION (1)

$ Millions (Unaudited)	Sep 30, 2026	Jun 30, 2026	Mar 31, 2026	Dec 31, 2025	Sep 30, 2025
R&D on GAAP basis	237	216	186	166	155
Share-based compensation	(10)	(8)	(7)	(7)	(7)
Amortization of acquired intangibles	—	—	—	—	—
R&D on non-GAAP basis	227	208	178	159	148
SG&A on GAAP basis	305	266	268	259	252
Share-based compensation	(57)	(39)	(37)	(32)	(32)
Amortization of acquired intangibles	(42)	(42)	(42)	(43)	(42)
Financing fees	—	—	—	(1)	—
Integration, site consolidation and other	(21)	(17)	(19)	(21)	(23)
SG&A on non-GAAP basis	185	169	170	162	156
Restructuring on GAAP basis	9	6	34	4	19
Restructuring	(9)	(6)	(34)	(4)	(19)
Restructuring on non-GAAP basis	—	—	—	—	—
Impairment of assets held-for-sale on GAAP basis	—	44	—	11	9
Impairment of assets held-for-sale	—	(44)	—	(11)	(9)
Impairment of assets held-for-sale on non-GAAP basis	—	—	—	—	—
Gain on sale of business on GAAP basis	—	—	(9)	—	(115)
Gain on sale of business	—	—	9	—	115
Gain on sale of business on non-GAAP basis	—	—	—	—	—

(1) Amounts may not foot due to rounding

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Figure 35. Coherent issuer presentation, November 4, 2026, source slide 14.

62. Source exhibit

NET EARNINGS RECONCILIATION (1)

$ Millions (Unaudited)	Sep 30, 2026	Jun 30, 2026	Mar 31, 2026	Dec 31, 2025	Sep 30, 2025
Net earnings attributable to Coherent Corp. on GAAP basis	385	241	191	147	226
Share-based compensation	73	54	51	45	45
Amortization of acquired intangibles	70	70	71	71	70
Foreign currency exch. (gains) losses	(14)	(4)	1	(2)	(1)
Restructuring charges	9	6	34	4	19
Impairment of assets held-for-sale	—	44	—	11	9
Gain on sale of business	—	—	(9)	—	(115)
Integration, site consolidation and other	21	18	19	21	22
Gain on sale of investment	—	(38)	(14)	(15)	(7)
Financing fees	—	—	—	1	12
Non-controlling interest impact of non-GAAP items	—	—	(6)	—	—
Tax impact of non-GAAP measures	(121)	(39)	(61)	(33)	(60)
Net earnings attributable to Coherent Corp. on non-GAAP basis	422	351	276	248	221

(1) Amounts may not foot due to rounding

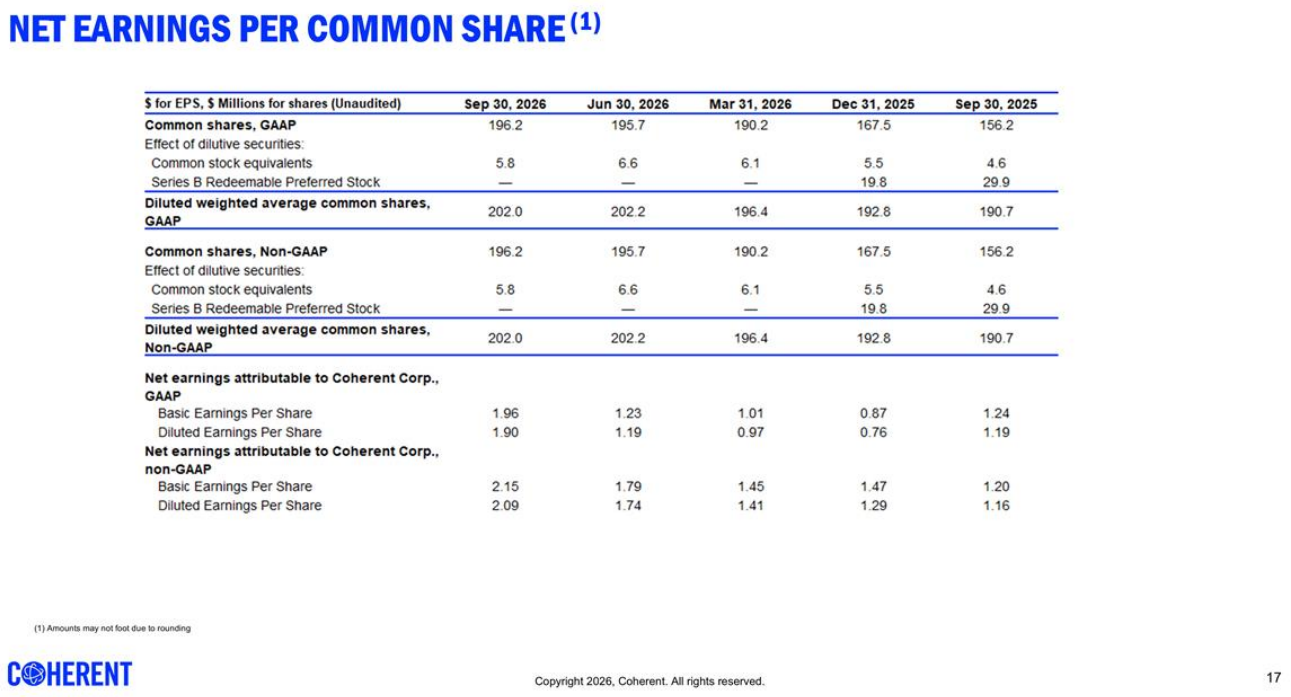
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Figure 36. Coherent issuer presentation, November 4, 2026, source slide 16.

63. Source exhibit



NET EARNINGS PER COMMON SHARE (1)

$ for EPS, $ Millions for shares (Unaudited)	Sep 30, 2026	Jun 30, 2026	Mar 31, 2026	Dec 31, 2025	Sep 30, 2025
Common shares, GAAP	196.2	195.7	190.2	167.5	156.2
Effect of dilutive securities:					
Common stock equivalents	5.8	6.6	6.1	5.5	4.6
Series B Redeemable Preferred Stock	—	—	—	19.8	29.9
Diluted weighted average common shares, GAAP	202.0	202.2	196.4	192.8	190.7
Common shares, Non-GAAP	196.2	195.7	190.2	167.5	156.2
Effect of dilutive securities:					
Common stock equivalents	5.8	6.6	6.1	5.5	4.6
Series B Redeemable Preferred Stock	—	—	—	19.8	29.9
Diluted weighted average common shares, Non-GAAP	202.0	202.2	196.4	192.8	190.7
Net earnings attributable to Coherent Corp., GAAP					
Basic Earnings Per Share	1.96	1.23	1.01	0.87	1.24
Diluted Earnings Per Share	1.90	1.19	0.97	0.76	1.19
Net earnings attributable to Coherent Corp., non-GAAP					
Basic Earnings Per Share	2.15	1.79	1.45	1.47	1.20
Diluted Earnings Per Share	2.09	1.74	1.41	1.29	1.16

(1) Amounts may not foot due to rounding

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Figure 37. Coherent issuer presentation, November 4, 2026, source slide 17.

64. Working-capital and commissioning assumptions

Each quarter uses 91.3125 operating days. The separate ending capital-payable proxy remains 527.734 million; ordinary operating AP excludes that amount. New assets commission 60% in the spending quarter and 40% in the following quarter, with a seven-year life.

Quarter	AR days	Inventory days	Operating AP days	Cash capex
Q4 2026	60.000	219.303	129.364	900.000
Q1 2027	60.000	211.978	124.523	900.000
Q2 2027	60.000	204.652	119.682	900.000
Q3 2027	60.000	197.326	114.841	850.000
Q4 2027	60.000	190.000	110.000	850.000
Q1 2028	60.000	185.000	107.500	800.000
Q2 2028	60.000	180.000	105.000	800.000
Q3 2028	60.000	175.000	102.500	800.000
Q4 2028	60.000	170.000	100.000	800.000
Q1 2029	60.000	167.500	98.750	700.000
Q2 2029	60.000	165.000	97.500	700.000
Q3 2029	60.000	162.500	96.250	700.000
Q4 2029	60.000	160.000	95.000	700.000
Q1 2030	60.000	157.500	93.750	600.000
Q2 2030	60.000	155.000	92.500	600.000
Q3 2030	60.000	152.500	91.250	600.000
Q4 2030	60.000	150.000	90.000	600.000

65. Tax, liquidity and lease conventions

The income-tax model has explicit sensitivities for deduction and jurisdictional limits. Borrowing availability remains conditional and uses completed-quarter covenant inputs.

Control	Selected treatment
Recurring book tax	20% of positive GAAP pretax income
Cash tax timing	20% accrual with 30-day lag; prepaid and payable balances shown separately
Unrestricted corporate cash floor	USD 500 million
Restricted cash	USD 583.414 million, held outside available InP funding
Revolver available at opening	USD 669 million, conditional on covenants and maturity
Eligible foreign facility headroom	USD 622 million, limited to selected foreign operating working capital
Finance-lease opening proxy	USD 13.725 million; June balance less reported September principal
Finance-lease interest	5.6% on declining average balance
Operating leases	Included in operating costs; neutral future cash conversion

66. Operating cash flow and capital spending

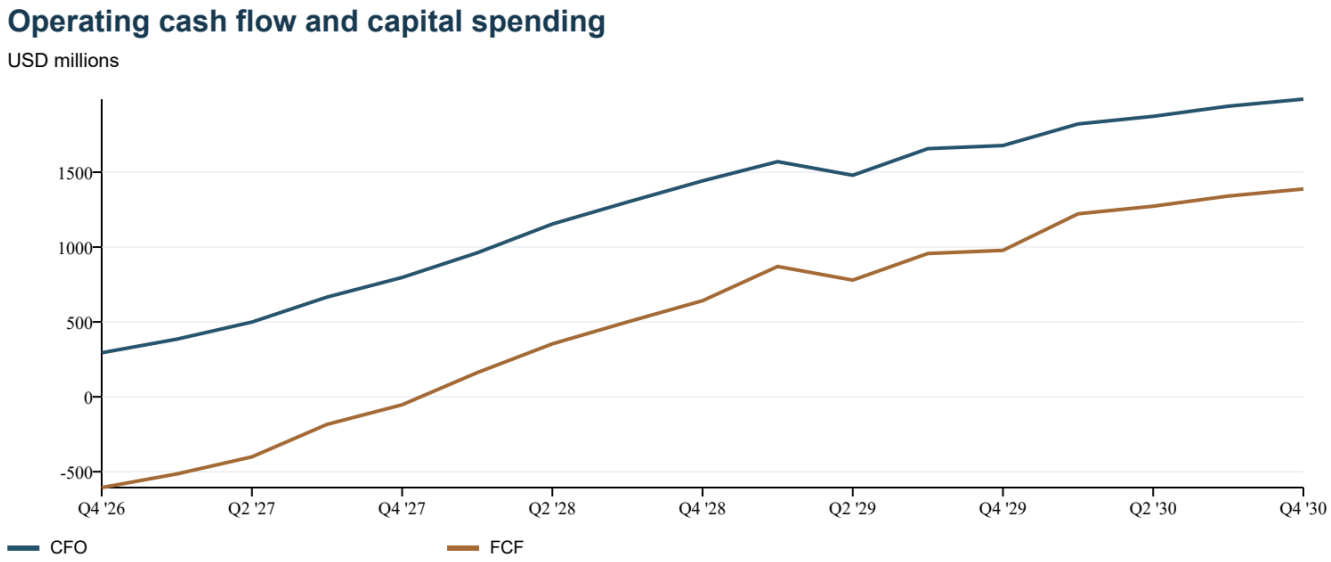


Figure 38. FCF is operating cash flow less cash capital expenditure. Customer advances, working capital and tax settlements enter the same cash bridge.

Quarter	CFO	FCF
Q4 2026	294.104	-605.896
Q1 2027	384.999	-515.001
Q2 2027	499.179	-400.821
Q3 2027	665.958	-184.042
Q4 2027	796.967	-53.033
Q1 2028	961.594	161.594
Q2 2028	1,153.687	353.687
Q3 2028	1,300.105	500.105
Q4 2028	1,441.867	641.867
Q1 2029	1,570.330	870.330
Q2 2029	1,479.299	779.299
Q3 2029	1,656.930	956.930
Q4 2029	1,677.864	977.864
Q1 2030	1,821.940	1,221.940
Q2 2030	1,872.843	1,272.843
Q3 2030	1,940.556	1,340.556
Q4 2030	1,987.724	1,387.724

67. Unrestricted liquidity and borrowing

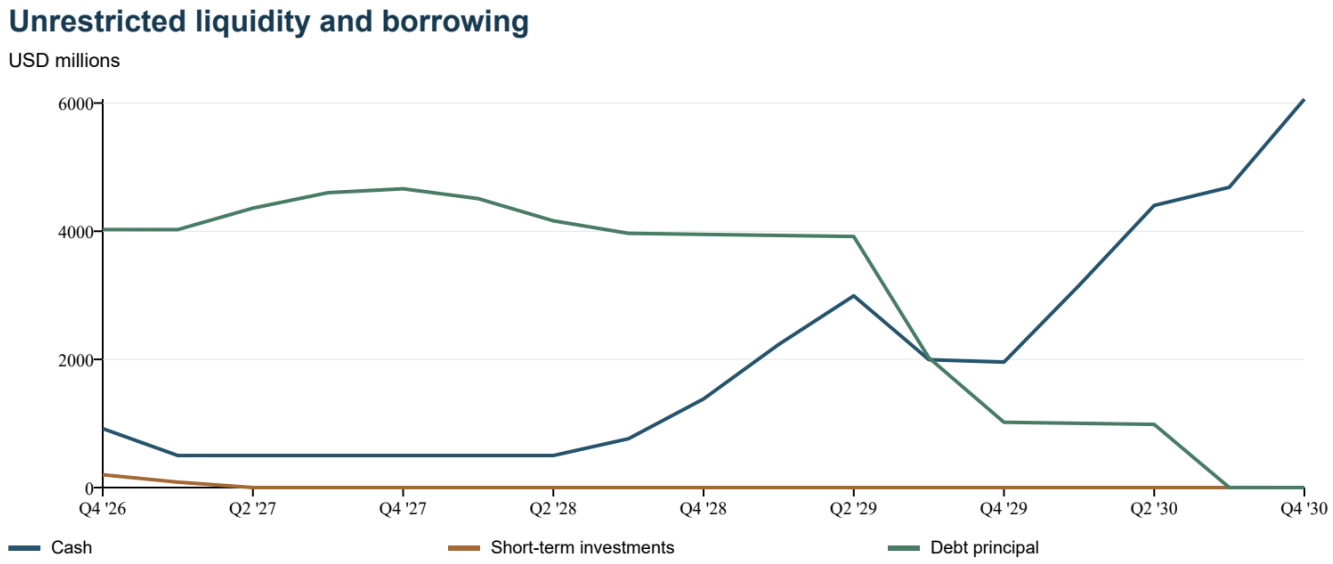


Figure 39. Restricted Silicon Carbide funds remain separate from this unrestricted cash view.

Quarter	Cash	Short-term investments	Debt principal
Q4 2026	919.999	200.000	4,025.872
Q1 2027	500.000	84.904	4,025.091
Q2 2027	500.000	0.000	4,360.122
Q3 2027	500.000	0.000	4,601.261
Q4 2027	500.000	0.000	4,662.332
Q1 2028	500.000	0.000	4,508.571
Q2 2028	500.000	0.000	4,162.510
Q3 2028	761.831	0.000	3,966.899
Q4 2028	1,382.999	0.000	3,950.492
Q1 2029	2,232.846	0.000	3,934.086
Q2 2029	2,991.880	0.000	3,917.680
Q3 2029	1,995.365	0.000	2,025.110
Q4 2029	1,957.725	0.000	1,018.704
Q1 2030	3,154.387	0.000	1,002.298
Q2 2030	4,402.181	0.000	985.891
Q3 2030	4,685.572	0.000	0.735
Q4 2030	6,061.205	0.000	0.000

68. Working capital and customer advances

Quarter	Receivables	Inventory	Operating AP	WC cash use	Advance release	Advances left
Q4 2026	1,752.035	3,579.478	2,111.490	253.130	43.000	290.000
Q1 2027	1,962.276	3,827.312	2,248.302	321.263	43.000	247.000
Q2 2027	2,163.228	4,024.840	2,353.764	293.019	43.000	204.000
Q3 2027	2,369.871	4,182.744	2,434.303	284.008	43.000	161.000
Q4 2027	2,568.275	4,312.053	2,496.452	265.564	20.125	140.875
Q1 2028	2,787.829	4,476.781	2,601.373	279.360	20.125	120.750
Q2 2028	2,934.853	4,524.809	2,639.472	156.954	20.125	100.625
Q3 2028	3,084.239	4,547.786	2,663.703	148.131	20.125	80.500
Q4 2028	3,171.311	4,479.290	2,634.876	47.403	20.125	60.375
Q1 2029	3,190.518	4,392.959	2,589.879	-22.126	20.125	40.250
Q2 2029	3,322.881	4,447.884	2,628.295	148.871	20.125	20.125
Q3 2029	3,403.287	4,441.487	2,630.727	71.577	20.125	0.000
Q4 2029	3,523.337	4,474.334	2,656.636	126.988	0.000	0.000
Q1 2030	3,586.741	4,450.844	2,649.312	47.238	0.000	0.000
Q2 2030	3,654.673	4,429.303	2,643.294	52.409	0.000	0.000
Q3 2030	3,705.406	4,390.771	2,627.265	28.230	0.000	0.000
Q4 2030	3,750.948	4,347.498	2,608.499	21.035	0.000	0.000

69. Book and cash tax

Quarter	Pretax	Book tax	Cash tax	Prepaid used	Tax payable	Prepaid left
Q4 2026	434.396	86.879	97.326	52.453	28.543	0.000
Q1 2027	514.611	102.922	97.651	0.000	33.814	0.000
Q2 2027	611.208	122.242	115.894	0.000	40.162	0.000
Q3 2027	697.967	139.593	133.893	0.000	45.862	0.000
Q4 2027	831.093	166.219	157.471	0.000	54.610	0.000
Q1 2028	984.935	196.987	186.878	0.000	64.719	0.000
Q2 2028	1,072.670	214.534	208.769	0.000	70.483	0.000
Q3 2028	1,133.461	226.692	222.698	0.000	74.478	0.000
Q4 2028	1,181.021	236.204	233.079	0.000	77.603	0.000
Q1 2029	1,193.881	238.776	237.931	0.000	78.448	0.000
Q2 2029	1,286.735	257.347	251.246	0.000	84.549	0.000
Q3 2029	1,332.965	266.593	263.555	0.000	87.587	0.000
Q4 2029	1,403.681	280.736	276.090	0.000	92.234	0.000
Q1 2030	1,440.494	288.099	285.680	0.000	94.653	0.000
Q2 2030	1,483.274	296.655	293.844	0.000	97.464	0.000
Q3 2030	1,497.330	299.466	298.542	0.000	98.387	0.000
Q4 2030	1,520.341	304.068	302.556	0.000	99.899	0.000

70. Scheduled and facility principal repayments

Amounts are cash principal repayments. Revolver repayments are shown separately in the total-debt bridge. The opening December-quarter repayments include Germany and the other-local facility.

Quarter	Term A	Term B	Notes	Germany	Foreign local	Foreign August	Other local
Q4 2026	0.000	0.000	0.000	0.781	0.000	0.000	6.745
Q1 2027	0.000	0.000	0.000	0.781	0.000	0.000	0.000
Q2 2027	0.000	0.000	0.000	0.781	0.000	0.000	0.000
Q3 2027	0.000	0.000	0.000	0.781	0.000	10.017	0.000
Q4 2027	0.000	0.000	0.000	0.781	0.000	0.000	0.000
Q1 2028	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q2 2028	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q3 2028	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q4 2028	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q1 2029	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q2 2029	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q3 2029	15.625	1,080.000	0.000	0.781	208.388	587.776	0.000
Q4 2029	15.625	0.000	990.000	0.781	0.000	0.000	0.000
Q1 2030	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q2 2030	15.625	0.000	0.000	0.781	0.000	0.000	0.000
Q3 2030	984.375	0.000	0.000	0.781	0.000	0.000	0.000
Q4 2030	0.000	0.000	0.000	0.735	0.000	0.000	0.000

71. Total debt roll-forward

Closing debt equals opening debt plus new borrowing less facility and revolver repayments. Available borrowing remains limited by facility terms and the completed-quarter covenant tests.

Quarter	Opening debt	New draws	Facility principal paid	Revolver paid	Closing debt
Q4 2026	4,033.398	0.000	7.526	0.000	4,025.872
Q1 2027	4,025.872	0.000	0.781	0.000	4,025.091
Q2 2027	4,025.091	335.813	0.781	0.000	4,360.122
Q3 2027	4,360.122	251.937	10.798	0.000	4,601.261
Q4 2027	4,601.261	61.853	0.781	0.000	4,662.332
Q1 2028	4,662.332	0.000	16.406	137.355	4,508.571
Q2 2028	4,508.571	0.000	16.406	329.655	4,162.510
Q3 2028	4,162.510	0.000	16.406	179.205	3,966.899
Q4 2028	3,966.899	0.000	16.406	0.000	3,950.492
Q1 2029	3,950.492	0.000	16.406	0.000	3,934.086
Q2 2029	3,934.086	0.000	16.406	0.000	3,917.680
Q3 2029	3,917.680	0.000	1,892.570	0.000	2,025.110
Q4 2029	2,025.110	0.000	1,006.406	0.000	1,018.704
Q1 2030	1,018.704	0.000	16.406	0.000	1,002.298
Q2 2030	1,002.298	0.000	16.406	0.000	985.891

Quarter	Opening debt	New draws	Facility principal paid	Revolver paid	Closing debt
Q3 2030	985.891	0.000	985.156	0.000	0.735
Q4 2030	0.735	0.000	0.735	0.000	0.000

72. Unrestricted cash reconciliation

Closing cash equals opening cash plus FCF, net borrowing, net equity cash and short-term investment redemptions, less finance-lease principal. Net equity cash combines employee exercise and purchase proceeds with award tax withholding. Restricted cash is excluded.

Quarter	Opening cash	FCF	Net borrowing	Net equity cash	Lease principal	STI redeemed	Closing cash
Q4 2026	1,552.929	-605.896	-7.526	-19.000	0.508	0.000	919.999
Q1 2027	919.999	-515.001	-0.781	-18.805	0.508	115.096	500.000
Q2 2027	500.000	-400.821	335.031	-18.607	0.508	84.904	500.000
Q3 2027	500.000	-184.042	241.139	-56.589	0.508	0.000	500.000
Q4 2027	500.000	-53.033	61.071	-7.530	0.508	0.000	500.000
Q1 2028	500.000	161.594	-153.761	-7.325	0.508	0.000	500.000
Q2 2028	500.000	353.687	-346.062	-7.117	0.508	0.000	500.000
Q3 2028	500.000	500.105	-195.611	-42.155	0.508	0.000	761.831
Q4 2028	761.831	641.867	-16.406	-3.784	0.508	0.000	1,382.999
Q1 2029	1,382.999	870.330	-16.406	-3.568	0.508	0.000	2,232.846
Q2 2029	2,232.846	779.299	-16.406	-3.350	0.508	0.000	2,991.880
Q3 2029	2,991.880	956.930	-1,892.570	-60.367	0.508	0.000	1,995.365
Q4 2029	1,995.365	977.864	-1,006.406	-8.590	0.508	0.000	1,957.725
Q1 2030	1,957.725	1,221.940	-16.406	-8.364	0.508	0.000	3,154.387
Q2 2030	3,154.387	1,272.843	-16.406	-8.135	0.508	0.000	4,402.181
Q3 2030	4,402.181	1,340.556	-985.156	-71.500	0.508	0.000	4,685.572
Q4 2030	4,685.572	1,387.724	-0.735	-10.848	0.508	0.000	6,061.205

73. Covenants and funding constraints

Drawing tests use completed trailing quarters. Contractual calculations and subsidiary designations remain subject to the documented approximation; availability is conditional.

Quarter	Prior TTM EBITDA	Prior TTM interest	Net leverage	Interest cover	Funding gap
Q4 2026	1,833.130	205.402	1.322	10.890	0.000
Q1 2027	2,197.531	202.792	1.277	13.881	0.000
Q2 2027	2,693.440	207.281	1.203	15.036	0.000
Q3 2027	3,207.708	214.335	1.087	18.009	0.000
Q4 2027	3,771.996	222.898	0.959	18.963	0.000
Q1 2028	4,342.728	230.010	0.809	22.149	0.000
Q2 2028	4,956.070	237.075	0.661	23.324	0.000
Q3 2028	5,547.018	238.839	0.526	27.685	0.000
Q4 2028	6,106.406	234.026	0.392	29.307	0.000
Q1 2029	6,598.590	226.174	0.248	33.864	0.000

Quarter	Prior TTM EBITDA	Prior TTM interest	Net leverage	Interest cover	Funding gap
Q2 2029	6,941.447	218.232	0.130	34.277	0.000
Q3 2029	7,281.541	213.441	0.006	41.812	0.000
Q4 2029	7,561.540	194.295	-0.117	45.672	0.000
Q1 2030	7,868.107	173.275	-0.260	58.730	0.000
Q2 2030	8,191.181	140.473	-0.401	90.036	0.000
Q3 2030	8,457.153	94.931	-0.536	112.785	0.000
Q4 2030	8,695.463	78.097	-0.681	224.305	0.000

74. Common and diluted share progression

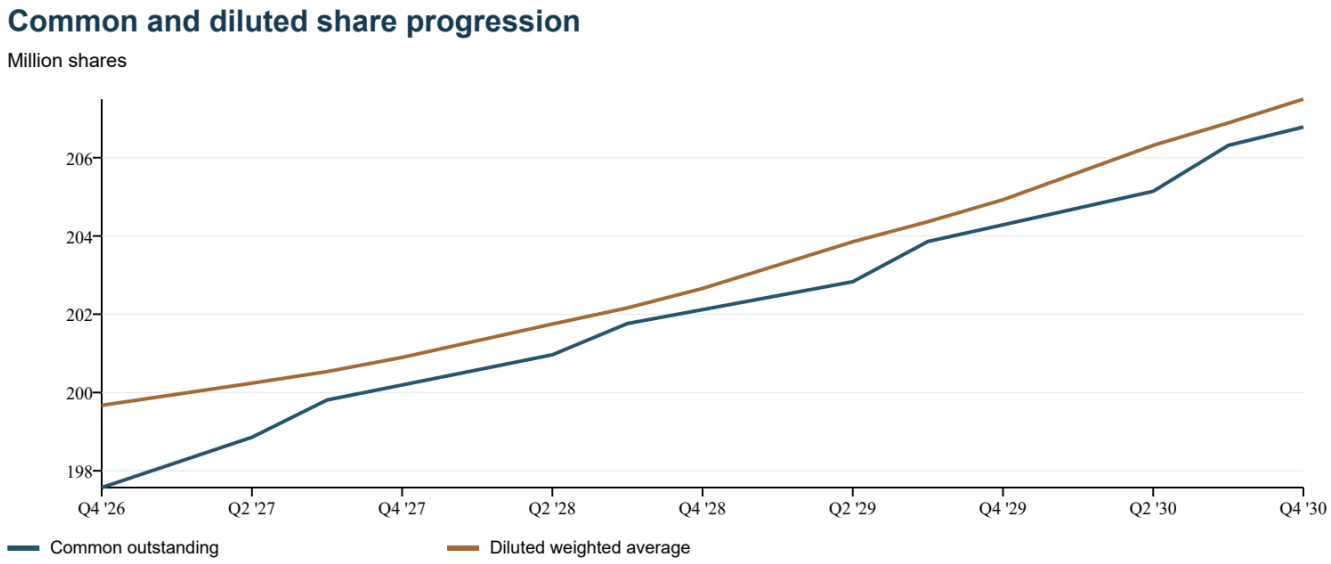


Figure 40. The forecast follows the dated award-cohort reconstruction and its explicit assumptions.

Quarter	Common outstanding	Diluted weighted average
Q4 2026	197.572	199.673
Q1 2027	198.214	199.956
Q2 2027	198.856	200.240
Q3 2027	199.809	200.534
Q4 2027	200.193	200.898
Q1 2028	200.578	201.323
Q2 2028	200.964	201.750
Q3 2028	201.763	202.162
Q4 2028	202.118	202.659
Q1 2029	202.474	203.255
Q2 2029	202.831	203.852
Q3 2029	203.858	204.365
Q4 2029	204.284	204.926
Q1 2030	204.712	205.620
Q2 2030	205.142	206.315
Q3 2030	206.314	206.889
Q4 2030	206.783	207.496

75. Compensation, vesting and withholding

Quarter	Equity SBC	Gross vesting	Withheld shares	Withholding cash	Option/ESPP cash
Q4 2026	74.066	0.648	0.198	38.609	19.609
Q1 2027	74.100	0.648	0.198	38.609	19.805
Q2 2027	74.135	0.648	0.198	38.609	20.002
Q3 2027	115.837	1.228	0.375	73.111	16.522
Q4 2027	90.373	0.407	0.124	24.255	16.725
Q1 2028	90.409	0.407	0.124	24.255	16.930
Q2 2028	90.446	0.407	0.124	24.255	17.138
Q3 2028	119.858	0.999	0.305	59.504	17.348
Q4 2028	119.896	0.358	0.109	21.345	17.561
Q1 2029	119.934	0.358	0.109	21.345	17.777
Q2 2029	119.972	0.358	0.109	21.345	17.995
Q3 2029	143.840	1.320	0.403	78.583	18.216
Q4 2029	143.879	0.454	0.139	27.029	18.439
Q1 2030	143.919	0.454	0.139	27.029	18.665
Q2 2030	143.959	0.454	0.139	27.029	18.895
Q3 2030	159.625	1.522	0.465	90.627	19.126
Q4 2030	159.667	0.507	0.155	30.209	19.361

76. Incentive-plan capacity

Quarter	Plan reserve	Additional plan units needed	Common headroom
Q4 2026	4.762	0.000	84.932
Q1 2027	4.762	0.000	84.093
Q2 2027	4.762	0.000	83.252
Q3 2027	2.199	0.000	81.925
Q4 2027	2.199	0.000	81.417
Q1 2028	2.199	0.000	80.907
Q2 2028	2.199	0.000	80.397
Q3 2028	-0.684	0.684	79.293
Q4 2028	-0.684	0.684	78.829
Q1 2029	-0.684	0.684	78.363
Q2 2029	-0.684	0.684	77.896
Q3 2029	-3.888	3.888	76.467
Q4 2029	-3.888	3.888	75.902
Q1 2030	-3.888	3.888	75.335
Q2 2030	-3.888	3.888	74.767
Q3 2030	-7.412	7.412	73.130
Q4 2030	-7.412	7.412	72.506

77. Opening dilution and plan-renewal assumptions

The estimated opening award pool produces 2.600373 million TSM equivalents at the fixed reference price, compared with the reported historical weighted dilution of 5.813 million. The comparison difference is 3.212627 million. The source periods, prices and incomplete award ledger explain why this remains a disclosed reconstruction gap.

The base compensation forecast depends on later incentive-plan approvals. The required no-renewal sensitivity preserves outstanding awards and substitutes cash retention expense for unsupported new grants. The 300 million common-share authorization is tested separately.

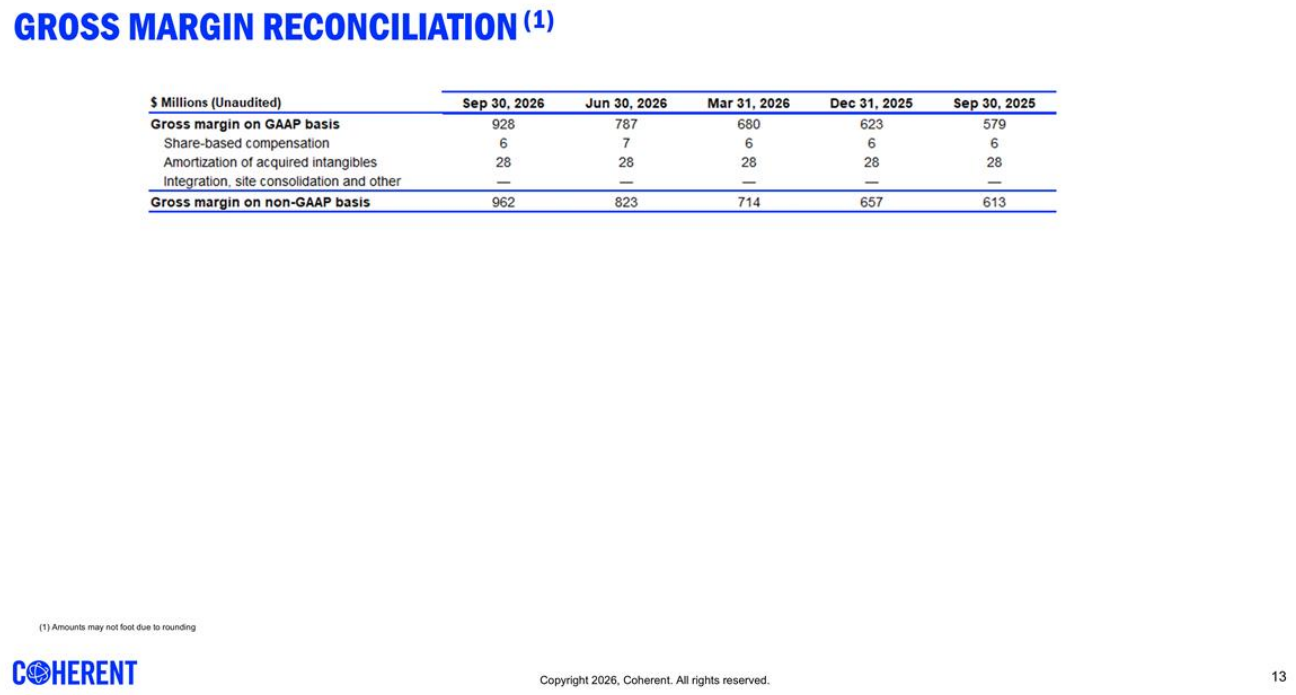
78. The complete quarterly operating model

The quarterly model links product volumes and prices to revenue, cash manufacturing costs, depreciation and operating expenses. The same calculation then produces operating profit, taxes, working capital, financing cash flows and dilution. Each major source-derived input and each lower-confidence allocation has a stated scope.

The sanctioned valuation uses 20 times forward-four-quarter non-GAAP operating profit with the selected diluted share convention. Each ceiling row identifies its exact four-quarter window. The report draws its tables and charts from the validated model so the revenue, cost and share assumptions remain consistent across the operating and valuation views.

Historical forecast vintages stay preserved with their original assumptions and ceilings. Newly reported historical actuals appear in a separate factual bridge, while the current report presents one active forecast for current and future quarters.

79. Source exhibit



GROSS MARGIN RECONCILIATION (1)

$ Millions (Unaudited)	Sep 30, 2026	Jun 30, 2026	Mar 31, 2026	Dec 31, 2025	Sep 30, 2025
Gross margin on GAAP basis	928	787	680	623	579
Share-based compensation	6	7	6	6	6
Amortization of acquired intangibles	28	28	28	28	28
Integration, site consolidation and other	—	—	—	—	—
Gross margin on non-GAAP basis	962	823	714	657	613

(1) Amounts may not foot due to rounding

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Figure 41. Coherent issuer presentation, November 4, 2026, source slide 13.

80. Source exhibit

INCOME FROM OPERATIONS RECONCILIATION (1)

$ Millions (Unaudited)	Sep 30, 2026	Jun 30, 2026	Mar 31, 2026	Dec 31, 2025	Sep 30, 2025
Op. income on GAAP basis	378	254	201	184	259
Share-based compensation	73	54	51	45	45
Amortization of acquired intangibles	70	70	71	71	70
Restructuring charges	9	6	34	4	19
Financing fees	—	—	—	1	—
Impairment of assets held-for-sale	—	44	—	11	9
Gain on sale of business	—	—	(9)	—	(115)
Integration, site consolidation and other	21	18	19	21	22
Op. income on non-GAAP basis	550	446	366	336	309
Non-GAAP Op. Margin Percentage	23.2 %	21.8 %	20.3 %	19.9 %	19.5 %

(1) Amounts may not foot due to rounding

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Figure 42. Coherent issuer presentation, November 4, 2026, source slide 15.

81. Quarterly forward-four-quarter calculated ceiling

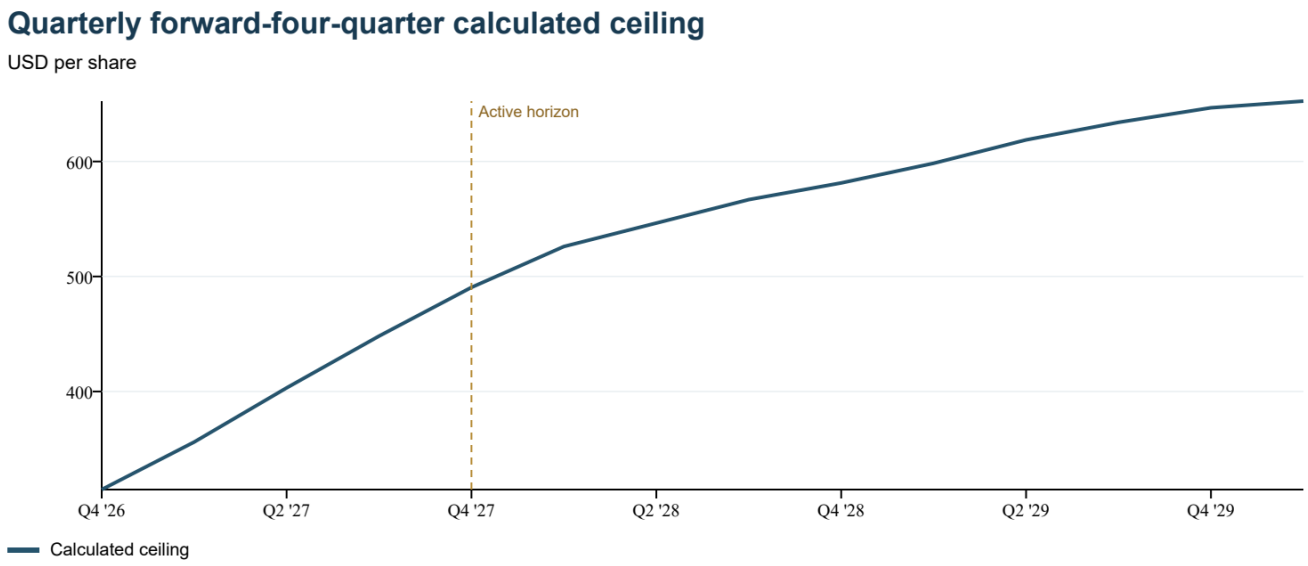


Figure 43. Each source-model value uses the exact four-quarter operating-profit window and the sanctioned multiple. The active horizon is highlighted.

Quarter	Calculated ceiling
Q4 2026	314.716
Q1 2027	356.034
Q2 2027	403.120
Q3 2027	448.173
Q4 2027	490.527
Q1 2028	526.068
Q2 2028	546.439
Q3 2028	566.843
Q4 2028	581.342
Q1 2029	598.446
Q2 2029	618.789
Q3 2029	634.038
Q4 2029	646.708
Q1 2030	652.493

82. Rolling four-quarter derivations

Quarter	Exact window	F4 NG OP	Multiple	Diluted shares	Ceiling
Q4 2026	Q4 2026 to Q3 2027	3,142.014	20.000	199.673	314.716
Q1 2027	Q1 2027 to Q4 2027	3,559.548	20.000	199.956	356.034
Q2 2027	Q2 2027 to Q1 2028	4,036.033	20.000	200.240	403.120
Q3 2027	Q3 2027 to Q2 2028	4,493.695	20.000	200.534	448.173
Q4 2027	Q4 2027 to Q3 2028	4,927.297	20.000	200.898	490.527
Q1 2028	Q1 2028 to Q4 2028	5,295.481	20.000	201.323	526.068
Q2 2028	Q2 2028 to Q1 2029	5,512.196	20.000	201.750	546.439
Q3 2028	Q3 2028 to Q2 2029	5,729.718	20.000	202.162	566.843
Q4 2028	Q4 2028 to Q3 2029	5,890.717	20.000	202.659	581.342
Q1 2029	Q1 2029 to Q4 2029	6,081.855	20.000	203.255	598.446
Q2 2029	Q2 2029 to Q1 2030	6,307.072	20.000	203.852	618.789
Q3 2029	Q3 2029 to Q2 2030	6,478.759	20.000	204.365	634.038
Q4 2029	Q4 2029 to Q3 2030	6,626.354	20.000	204.926	646.708
Q1 2030	Q1 2030 to Q4 2030	6,708.273	20.000	205.620	652.493

83. Conditional operating-profit paths

Leaf labels follow the joint-outcome table. These quarterly profits support each conditional four-quarter valuation.

Quarter	L1	L2	L3	L4	L5	L6	L7	L8	L9
Q4 2026	640.4	640.4	640.4	638.6	638.6	638.6	638.6	638.6	638.6
Q1 2027	728.2	728.2	728.2	712.3	712.3	712.3	712.3	712.3	712.3
Q2 2027	833.2	833.2	833.2	810.8	810.8	810.8	810.1	810.1	810.1
Q3 2027	953.6	953.6	953.6	928.2	928.2	928.2	921.0	921.0	921.0
Q4 2027	1,063.2	1,063.2	1,063.2	1,039.1	1,039.1	1,039.1	1,024.0	1,024.0	1,024.0
Q1 2028	1,231.9	1,199.8	1,167.7	1,107.0	1,107.0	1,107.0	1,091.5	1,091.5	1,091.5
Q2 2028	1,337.9	1,281.5	1,225.1	1,124.4	1,124.4	1,124.4	1,110.9	1,110.9	1,110.9
Q3 2028	1,443.1	1,354.4	1,265.6	1,241.2	1,208.9	1,176.7	1,110.8	1,110.8	1,110.8
Q4 2028	1,498.0	1,384.7	1,271.5	1,286.4	1,229.8	1,173.2	1,074.7	1,074.7	1,074.7
Q1 2029	1,453.5	1,356.3	1,259.2	1,428.2	1,339.2	1,250.1	1,218.5	1,186.1	1,153.7
Q2 2029	1,546.3	1,424.7	1,303.1	1,513.9	1,400.4	1,286.9	1,301.8	1,245.1	1,188.3
Q3 2029	1,604.4	1,466.4	1,328.4	1,442.1	1,344.7	1,246.8	1,416.7	1,327.5	1,237.5
Q4 2029	1,684.6	1,522.1	1,358.8	1,522.1	1,400.3	1,275.3	1,489.6	1,375.5	1,258.6
Q1 2030	1,713.2	1,542.4	1,367.0	1,583.0	1,442.2	1,300.2	1,417.1	1,316.9	1,216.7
Q2 2030	1,736.0	1,554.2	1,370.5	1,670.9	1,504.1	1,337.1	1,504.1	1,378.8	1,253.6
Q3 2030	1,751.9	1,559.8	1,367.7	1,685.1	1,509.7	1,334.3	1,551.4	1,409.5	1,267.5
Q4 2030	1,759.5	1,559.0	1,358.6	1,692.7	1,508.9	1,325.2	1,625.9	1,458.8	1,291.8

84. Conditional calculated ceilings

Quarter	L1	L2	L3	L4	L5	L6	L7	L8	L9
Q4 2026	316.07	316.07	316.07	309.50	309.50	309.50	308.71	308.71	308.71
Q1 2027	357.91	357.91	357.91	349.12	349.12	349.12	346.82	346.82	346.82
Q2 2027	407.71	404.50	401.29	388.04	388.04	388.04	384.20	384.20	384.20
Q3 2027	457.44	448.61	439.78	418.75	418.75	418.75	413.63	413.63	413.63
Q4 2027	505.34	487.70	470.05	449.16	445.94	442.73	431.78	431.78	431.78
Q1 2028	547.47	518.61	489.75	472.77	463.94	455.11	435.91	435.91	435.91
Q2 2028	568.28	533.03	497.79	503.62	485.98	468.34	447.57	444.36	441.15
Q3 2028	587.74	546.11	504.49	541.12	512.29	483.46	465.55	456.73	447.92
Q4 2028	602.21	555.83	509.45	559.62	524.43	489.19	494.60	476.99	459.31
Q1 2029	618.81	567.72	516.55	581.17	539.67	497.81	533.98	505.20	476.06
Q2 2029	642.47	584.31	525.61	594.66	548.19	501.26	551.90	516.54	480.84
Q3 2029	659.43	595.52	530.89	608.53	556.97	504.91	570.31	528.34	486.02
Q4 2029	672.02	603.00	533.26	630.58	571.55	512.07	581.90	534.89	487.62
Q1 2030	677.03	604.56	531.44	645.04	580.19	515.20	593.19	541.19	489.20

85. Incomplete tail windows

Quarter	Valuation status
Q2 2030	Window incomplete; no ceiling inferred
Q3 2030	Window incomplete; no ceiling inferred
Q4 2030	Window incomplete; no ceiling inferred

86. What changes the outcome

The most important sensitivities alter the path of customer delivery, the share of a contract realized, unit pricing, production learning, internal sourcing and committed capacity costs. Each test follows the resulting revenue, margin, cash and share consequences together. A shipment delay retains its working-capital and factory implications.

The financing stresses test whether the company can fund the operating path with the selected unrestricted resources, eligible facilities and covenant conditions. Where a case develops an unresolved cash requirement, the report shows that gap directly. It also separates the economic effect of incentive-plan renewal from the cost of replacing equity compensation with cash.

An isolated price test holds the separately selected dollar unit-cost path fixed. This keeps a selling-price change from automatically creating an offsetting manufacturing-cost change. Broader cost and mix scenarios can then test those separate mechanisms explicitly.

87. Operating and funding sensitivities

These are operating and cash sensitivities from the independently checked scenario model. They retain the selected borrowing constraints. A funding gap identifies a continuing path that requires additional action; no funded valuation is assigned to that counterfactual.

Case	Minimum cash	Maximum floor gap	Peak revolver	First gap	Funding result
Selected base	500.000	0.000	669.000	None	Funded within selected limits
No plan renewal; cash retention	500.000	0.000	669.000	None	Funded within selected limits
Adverse cash-timing bound	-407.115	907.115	669.000	2029Q3	Unfunded
Capex +25%	-2,988.900	3,488.900	669.000	2027Q2	Unfunded
Cash operating expense +25%	-1,918.275	2,418.275	669.000	2027Q3	Unfunded
ASP -10%; dollar costs fixed	-2,411.678	2,911.678	669.000	2027Q3	Unfunded
Cash tax +2 percentage points	500.000	0.000	669.000	None	Funded within selected limits
Acquired amortization not deductible	500.000	0.000	669.000	None	Funded within selected limits
No prepaid tax offset	500.000	0.000	669.000	None	Funded within selected limits
Inventory +30 days	-1,244.525	1,744.525	669.000	2027Q2	Unfunded
No new-LTA revenue	500.000	0.000	669.000	None	Funded within selected limits
Half compensation reference price	500.000	0.000	578.636	None	Funded within selected limits

88. Incentive-plan renewal and cash-retention alternative

The alternative preserves existing equity awards and replaces unsupported future grants with ordinary cash compensation. The substitute reduces non-GAAP operating profit. Share dilution falls because the replaced grants are not issued.

Measure	Selected base	No renewal; cash retention
Ending diluted shares	207.496	205.561
First cash-retention expense quarter	None	2028Q3
First quarterly cash-retention expense	0.000	11.123
Maximum quarterly cash-retention expense	0.000	120.498
Maximum funding-floor gap	0.000	0.000

89. Plan authorization requirements

The expected-payout case first needs 0.684171 million additional units for the September 2028 grant and 7.411836 million cumulatively through 2030. These future approvals are a contingent model assumption. The 300 million common-share authorization remains a separate test.

Grant quarter	New expected plan units	Cumulative extra approval
2027Q3	2.563	0.000
2028Q3	2.883	0.684
2029Q3	3.204	3.888
2030Q3	3.524	7.412

90. Additional award and dilution sensitivities

The carried comparison gap is a denominator-only diagnostic. It adds no invented historical grant or financing cash. The higher-payout cases change award economics and share counts within their stated assumptions.

Case	Ending diluted shares	Extra plan approval through 2030	Maximum funding gap
Future PSU payout 2 x	208.493	9.847	0.000
Legacy PSU payout 1.5 x	208.033	7.412	0.000
Reported dilution comparison gap carried	210.709	No invented grant	Cash unchanged

91. Model interpretation

The selected base uses the full 669 million opening revolver availability at peak. Cash remains sensitive to capex, unit pricing, operating expense and inventory timing. The adverse timing bound and several operating stresses exceed the selected funding sources.

92. Cross-book checks

Coherent links the substrate and laser-manufacturing chain to the final optical module and system. AXTI and other InP suppliers provide checks on input availability and lead times. LITE offers a relevant light-source and transceiver comparison, while TSEM connects to the broader photonics manufacturing discussion. Each comparison requires matching product and manufacturing scope.

AAOI, CRDO and GLW can help test different portions of connectivity demand, while NVIDIA, AMD and Marvell provide architecture and customer-deployment context. The relevant questions are specific: which link is changing, what is its reach and bandwidth, which components are qualified, and where does Coherent capture an external invoice?

These cross-checks inform Coherent’s assumptions. Revisions to another covered company remain separate work with that company’s own financial and source review.

93. Five risk classes and the evidence to watch

Industrial and end-market cyclicality can change customer ordering, inventory and factory utilization. The test is the relationship among end-market demand, shipments and inventory accumulation, with particular attention to the industrial recovery and the pace of datacenter deployment.

Manufacturing execution depends on qualified output and successful factory commissioning. Substrate availability, process yields, packaging and factory commissioning can change both the timing and the cost of supply. The relevant counter-evidence is a sustained increase in delivered product with the expected cost improvement.

Customer qualification and architecture timing can defer revenue across CPO, NPO, DCI and switching programs. The report follows stated deployment dates and retains the same event state across overlapping exposures. New acceptance evidence can shorten a delay; a missed delivery or reliability issue can extend it.

Pricing, mix and operating-cost sustainability determine how much revenue becomes profit. The company’s margin goals rely on product mix, internal sourcing, pricing initiatives and cost control. Customer concentration and competing products can alter that balance. Export-control compliance and the disclosed BIS inquiry concerning past Huawei sales also affect customer access and potential cost; no loss range is supplied.

Funding, working capital and committed factory spending form the fifth risk class. The key tests are unrestricted cash, customer collections, inventory, capital payables and usable borrowing headroom through

known maturities. The report separates this cash exposure from the product-qualification event so each consequence is counted once.

94. Sources and completeness

The source set contains the November 4 fiscal Q1 release, SEC filing and presentation; the August 12 fiscal Q4 release and presentation; the fiscal 2026 annual filing; and both full management calls with Q&A. Primary product releases and credit agreements support the technical, manufacturing and funding sections. Every retained source has a path, date and content hash.

The full call texts are available through the retained TradingView/Quartr views. Audio has not been independently replayed. Original issuer PDF requests returned HTTP403; SEC presentation HTML and all original slide images are retained. The report states those acquisition limits without treating them as missing financial statements.

The main unresolved evidence is specific: the new contract’s detailed acceptance and termination clauses; actual product unit counts and good-die capacity; complete award-cohort records; current debt classification by individual facility; and company-specific covenant certificates. Each limitation sits beside its affected modeling assumption. Older source images remain attributed and dated, while superseded calculated graphics stay in the external history.

95. Source register

Source	Original URL or document identity
quote	TradingView NYSE:COHR daily regular-session bar, November 4, 2026.
Q1_10Q	https://www.sec.gov/Archives/edgar/data/820318/000082031826000023/iivi-20260930.htm
FY26_10K	https://www.sec.gov/Archives/edgar/data/820318/000082031826000020/iivi-20260630.htm
Q1_release	https://www.sec.gov/Archives/edgar/data/820318/000119312526447200/d176836dex991.htm
Q1_deck	https://www.sec.gov/Archives/edgar/data/820318/000119312526447200/d176836dex992.htm
Q1_call	TradingView / Quartr full management call and Q&A, November 4, 2026.
Q4_call	TradingView / Quartr full management call and Q&A, August 12, 2026.
PhotonLink	https://www.coherent.com/news/press-releases/launches-photonlink-integrated-optics-platform-ai-infrastructure
MultiRail	https://www.coherent.com/news/press-releases/scale-across-networks-multi-rail-transport-platform
OCS	https://www.coherent.com/networking/optical-circuit-switch.html
InP	https://www.coherent.com/news/blog/building-the-infrastructure-supporting-the-ai-era
pluggables	https://www.coherent.com/news/press-releases/coherent-demonstrates-next-gen-pluggable-transceiver-ofc-2026
score	Framework score selected before valuation; owner-authorized Excel alignment to 78.
framework	Owner investment framework, version 8.0.
plan_rider	Selected incentive-plan renewal assumption and no-renewal sensitivity.
credit_agreements	SEC credit agreement and amendments; verified manifest retained.
legacy_source_images	Dated original source evidence extracted from the existing company artifact.
source_manifest	Verified source manifest with original URLs and content hashes.